Multi-level surcharge-based Product Cost Controlling (CO-PC II)

This case study describes an integrated process in product cost controlling. Using the underlying SAP functionalities (including overhead costing), the costs for multi-level products are calculated.

Product
S/4HANA 2023
Global Bike

Fiori 3.0

Level
Bachelor
Master
Advanced

Focus
Product cost calculation

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Version
4.3

Last change
July 2025

MOTIVATION

In the case study Product Cost Controlling (CO-PC I) you got to know a single-stage product cost calculation on the basis of already existing material master data, parts lists and routings for a bicycle from Global Bike.

In this advanced case study, you are now asked to determine the costs of two different bicycle computers on the basis of a multi-level product structure and with a stored overhead calculation scheme. On the one hand, you use materials that have already been created. On the other hand, you create another material yourself and calculate both an assembly, two semi-finished products and the two variants of the final product.

Finally, you calculate the cost of goods manufactured and the cost of goods sold of the end products on the basis of a cost estimate with quantity structure, using the BOM‘s of the products.

PREREQUISITES

In order to carry out this CO case study successfully, it is recommended to work through the case study Product Cost Controlling (CO-PC I) beforehand. However, it is not necessary.

NOTES

This case study uses the model company Global Bike, which was developed exclusively for SAP UA Curricula.

SAP University Alliances

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Process Overview

Learning Objective To understand and apply an integrated process in product cost controlling based on a multi-level product structure. Practical execution of an overhead costing for standard production costs known from the basics of cost accounting.

Time ~245 Min.

+ 60 Min.
Optional task

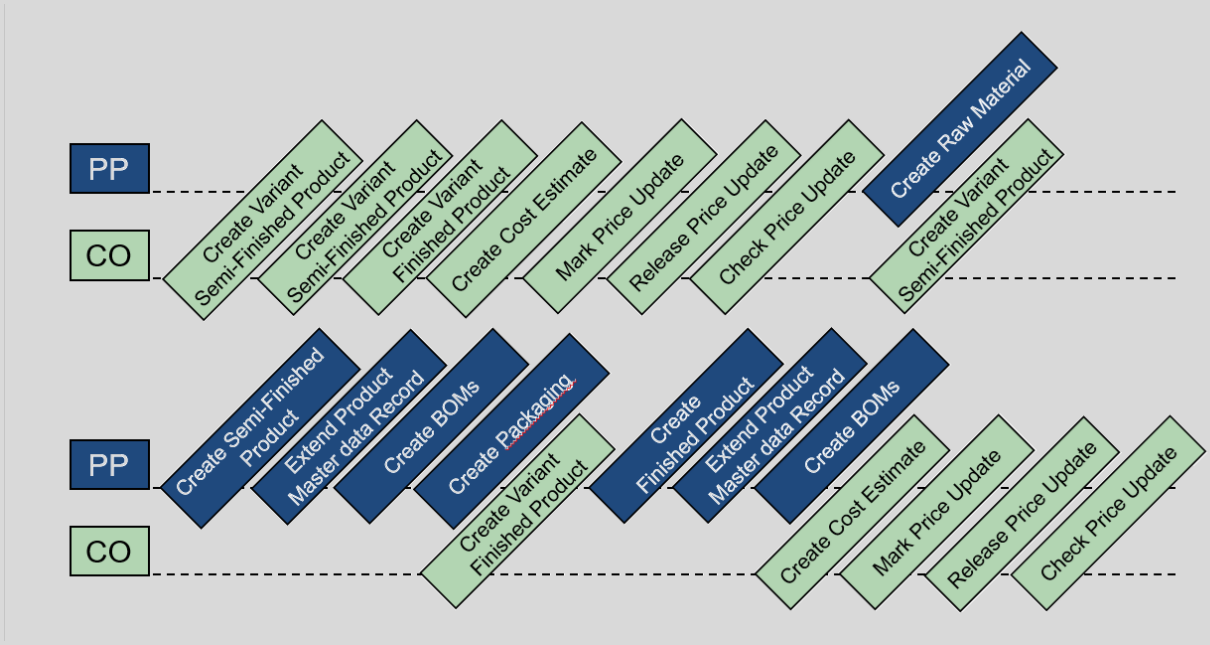
Scenario To carry out the complete process of multi-level overhead costing, you will take on different roles in the Global Bike company. You will start in production controlling with an existing product, before you create further master data in materials management and production in order to be able to carry out a new sample and material cost estimate with quantity structure.

Employees involved Jermain Kumins (Production Floor Worker 1)

Jamie Shamblin (Controller)

Shuyuan Chen (Head of Accounting)

You start the multi-stage product cost calculation process with an already existing product, the mountain bike bicycle computer. Before you carry out the material costing, you use the sample costing to estimate the costs in advance. You then create further raw materials, a semi-finished product and a final product for another bicycle computer, add to the structure of the product with the help of bills of materials and can thus carry out a cost estimate with quantity structure for the final product, which you then update in the material master. Between the steps, you create sample cost estimates again to determine the costs of the new products before they are even created. The following graphic shows the complete process chain.



The multi-level product structure of the end products *Off Road Bike computer* (*ORBC1###*) and *Touring Bike computer* (*TRBC1###*) can be found in the following figure. Please note that the components of the touring bike computer are not created in the system in advance.

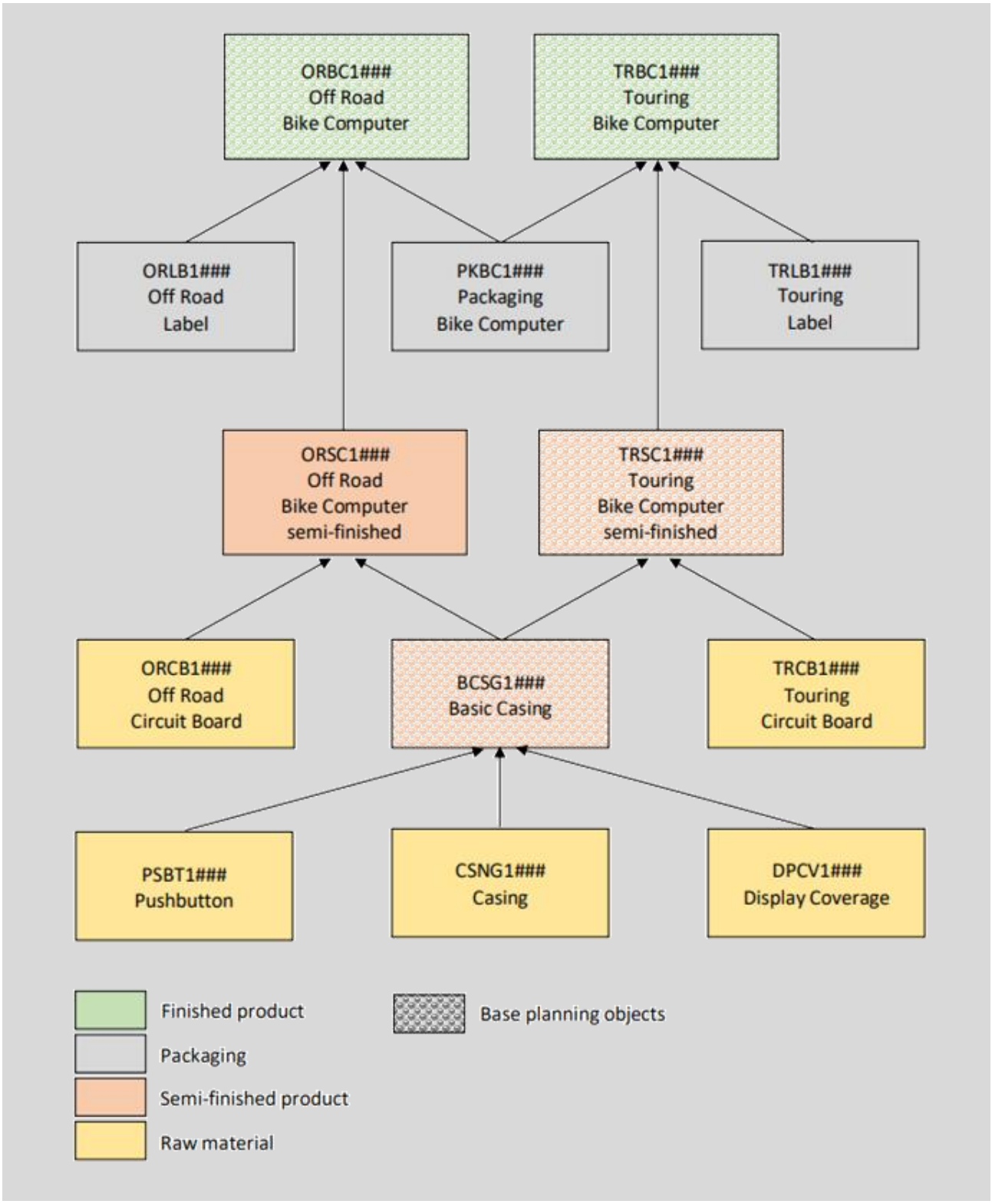

ORBC1###
Off Road
Bike Computer
TRBC1###
Touring
Bike Computer
ORLB1###
Off Road
Label
PKBC1###
Packaging
Bike Computer
TRLB1###
Touring
Label
ORSC1###
Off Road
Bike Computer
semi-finished
TRSC1###
Touring
Bike Computer
semi-finished
ORCB1###
Off Road
Circuit Board
BCSG1###
Basic Casing
TRCB1###
Touring
Circuit Board
PSBT1###
Pushbutton
CSNG1###
Casing
DPCV1###
Display Coverage
Finished product
Packaging
Semi-finished product
Raw material
Base planning objects

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[Optional] Manual Calculation of Manufacturing Costs

Task Calculate the manufacturing costs for the mountain bike cycle computers and the touring cycle computers manually.

Time 60 Min.

Short description Calculate the manufacturing costs for 1000 Bike computers each. To calculate, use a spreadsheet such as Microsoft Excel. For the sake of simplicity, assume that the packaging units in the purchase department can be divided into any number of parts. The following Bills of Materials (BOMs) form the basis for the calculation.

Name (position) Shuyuan Chen (Accounting Manager)

BOMs of the semi-finished product Basic Casing (Per piece)

Material	Quantity per Basic Casing	Packaging unit in purchase	Price per packaging unit
Pushbuttons	4 pcs.	carton à 500 pcs.	100,00 € per carton
Casing	1 pcs.	carton à 100 pcs.	580,00 € per carton
Display coverage	1 pcs.	carton à 100 pcs.	400,00 € per carton

BOMs of the semi-finished product Off Road Bike Computer (Per piece)

Material	Quantity per Basic Casing	Packaging unit in purchase	Price per packaging unit
Semi-finished basic casing	1 pcs.	carton à 100 pcs.	
Off Road circuit board	1 pcs.	carton à 100 pcs.	2.000,00 € per carton

BOMs of the semi-finished product Touring Bike Computer (Per piece)

Material	Quantity per Basic Casing	Packaging unit in purchase	Price per packaging unit
Semi-finished basic casing	1 pcs.	carton à 100 pcs.	
Off Road circuit board	1 pcs.	carton à 100 pcs.	2.500,00 € per carton

BOMs of the product Off Road Bike computer (Per PU - 1000 pcs.)

Material	Quantity	Packaging unit in purchasing / reference size	Price per packaging unit
Semi finished mountain bike bike comp.	1000 pcs		
Packaging bike comp.	1000 pcs.	Pallet à 1000 pcs.	150,00 € per pallet
Deluxe" sticker	1000 pcs.	carton à 1000 St.	50,00 € per carton
Machine hours	360 min.	1 hour	62,00 € per hour
Working hours	720 min.	1 hour	32,00 € per hour

BOMs of the product Touring Bike Computer (Pro PU – 1000 pcs.)

Material	Quantity	Packaging unit in purchasing / reference size	Price per packaging unit
Semi finished mountain bike bike comp.	1000 pcs.		
Packaging bike comp.	1000 pcs.	Palette à 1000 St.	150,00 € per pallet
Deluxe" sticker"	1000 pcs.	carton à 1000 St.	50,00 € pro carton
Machine hours	360 min	1 hour	62,00 € per hour
Arbeitszeit	720 Min.	1 Stunde	32,00 € pro Stunde

Result 1000 Off Road Bike computer: _____

Result 1000 Off Road Bike computer:_____

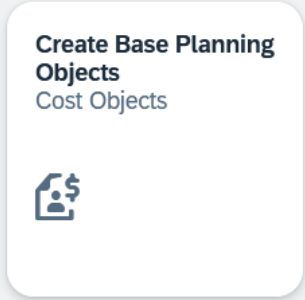
Step 1: Create Variant Semi-finished Product

Task Carry out the sample costing for the semi-finished product Basic Casing. **Time** 15 Min.

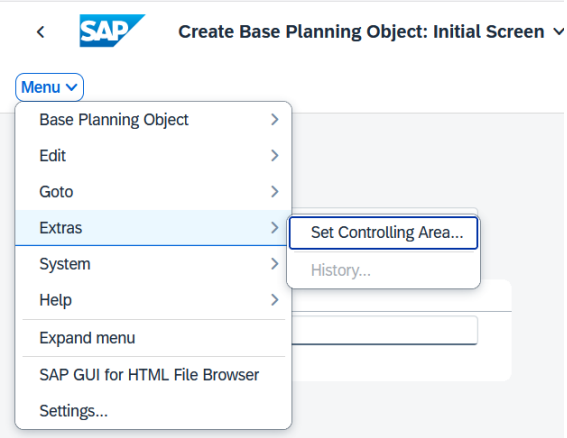
Short description Carry out a sample calculation for the Basic Casing Bike Computer. You will calculate the manufacturing costs for the Basic Casing. The basic Casing is part of the existing Off Road Bike Computer and the new touring bike computer.

Name (position) Jamie Shamblin (Controller)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the app *Create Base Planning Objects* to create a base planning object. Start

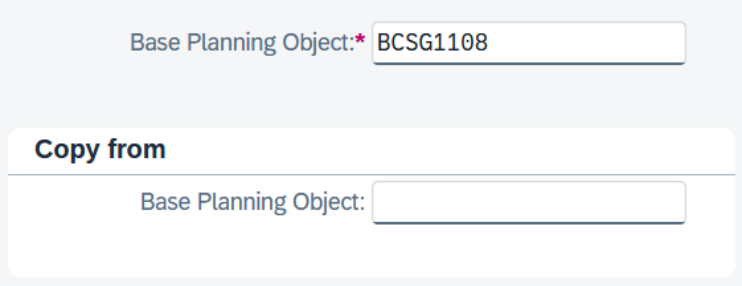


Create Base Planning Object: Initial screen appears. At the beginning, select **Menu → Extras → Set Controlling Area…**



Change the controlling area from NA00 to **EU00** and confirm the change with ✓ (*Continue*). EU00

In the *Base Planning Object* field, enter **BCSG1###** (replace ### with your three-digit number) for the base case. BCSG1###

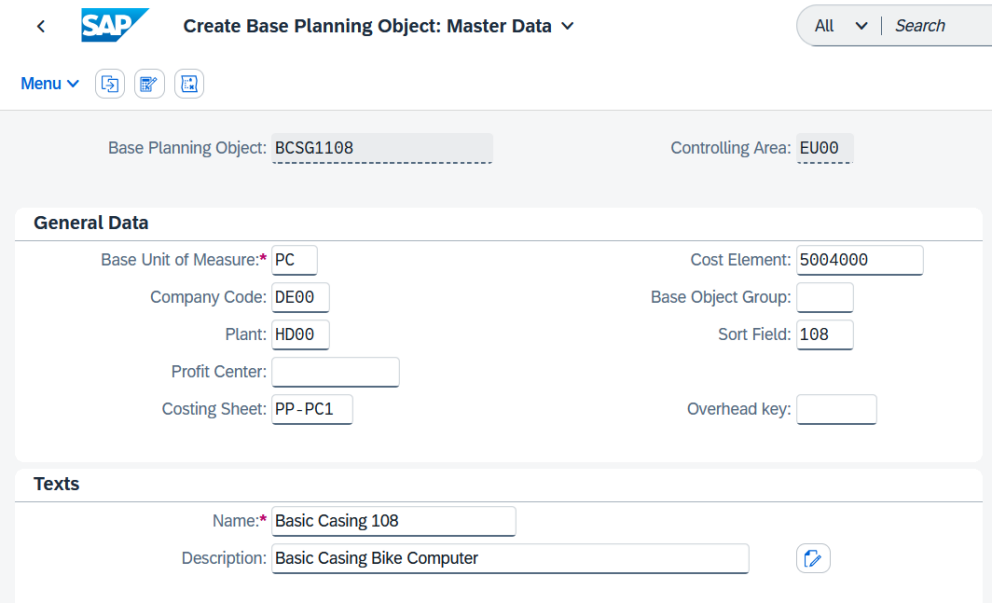


Press *Enter*. *The Create Base Planning Object: Master Data* screen appears. Enter **PC** (*pieces*) as the *Base Unit of Measure* and **5004000** (*expenses for semi-finished products*) as the *Cost Element*. Then select the *Company Code* **DE00** (*Global Bike Germany GmbH*) and the *Plant* **HD00** (*Heidelberg*). Use **PP-PC1** (*PP-PC standard*) as the *Costing Sheet*.

PC
5004000
DE00
HD00
PP-PC1

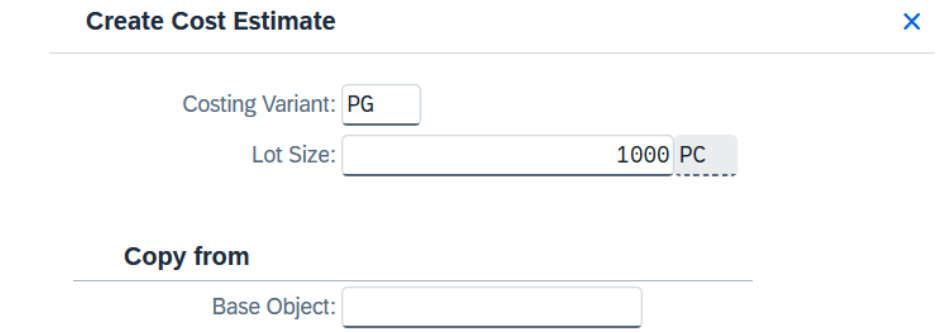
Enter **###** (your three-digit number) as the *Sort Field*. The latter allows you to display sorted calculations. Finally, enter **Basic Casing ###** as *Name* and **Basic Casing Bike Computer** as *Description*.

###
Basic Casing ###
Basic Casing Bike Computer



Then click on (*Create Cost Estimate*) to create the calculation. The *Create Cost estimate* window appears. Enter the *Costing Variant* **PG** (*Base Planning Object*) and the *lot size* **1000**.

PG
1000



Click on (*Continue*) to proceed.

Note The item category identifies the costing items with regard to their origin or cost origin. Examples are M (material), B (base planning object), S (total), E (internal activity) or G (overhead). The Resource column indicates which information is read by the system, depending on the item category.

In the *Category* column, enter **M** for *Material* in the first three lines and **S** for *Total* in the fourth line. Then, in the *Resource* column, in the first three lines, enter **PSBT1###** for Pushbutton, **CSNG1###** for Casing and **DPCV1###** for Display Coverage.

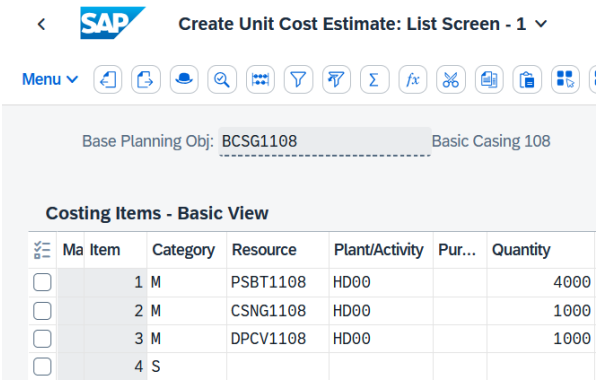
M
S
PSBT1###
CSNG1###
DPCV1###

Then enter **HD00** in the first three lines in the *Plant/Activity* column.

HD00

In the *Quantity* column, enter **4000** in the Pushbutton line (*PSBT1###*) and **1000** each for the Casing (*CSNG1###*) and Display Coverage (*DPCV1###*).

4000
1000



Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity
	1	M	PSBT1108	HD00		4000
	2	M	CSNG1108	HD00		1000
	3	M	DPCV1108	HD00		1000
	4	S				

Press *Enter*. The system automatically adds more information, also the prices for the materials are entered and the total sum of the basic housing is determined.

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity	Un...	Lot	Value - Total	Description
	1	M	PSBT1108	HD00		4,000	PC		800.00	Pushbutton
	2	M	CSNG1108	HD00		1,000	PC		5,800.00	Casing
	3	M	DPCV1108	HD00		1,000	PC		4,000.00	Display Coverage
	4	S							10,600.00	

The overhead rates are only added after saving and are not yet visible in the screen.

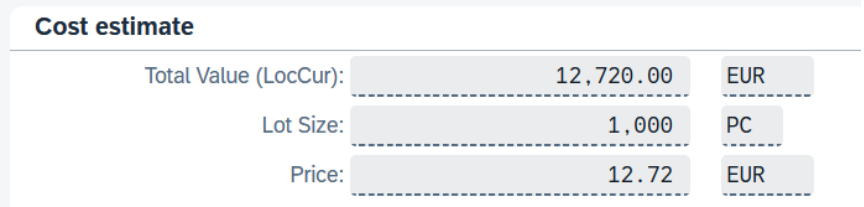
Click on Save to save your calculation.

Optional Compare the calculation with your manual invoice for the semi-finished basic housing.

You will be redirected to the master data view and receive the following message in the status bar.

Cost estimate saved temporarily View Details

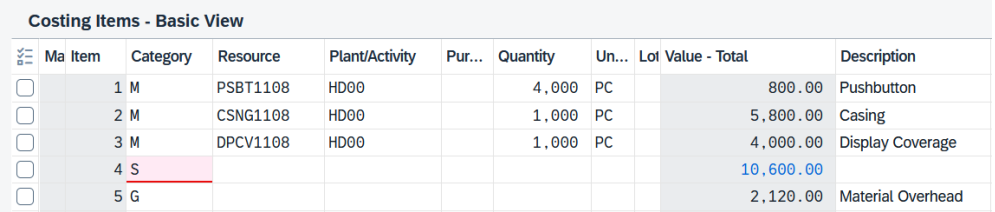
In the *Cost Estimate* area, both the total value of the specified batch size and the unit price were determined. Here, the total value differs from the previous sum because the overhead surcharges have now been taken into account.



Cost estimate

Total Value (LocCur):	12,720.00	EUR
Lot Size:	1,000	PC
Price:	12.72	EUR

Click on (*Process Cost Estimate Further*) to display the cost estimate again. The system has automatically added a line for overhead to your cost estimate.

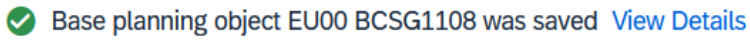


Costing Items - Basic View

	Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity	Un...	Lot	Value - Total	Description
☐		1	M	PSBT1108	HD00		4,000	PC		800.00	Pushbutton
☐		2	M	CSNG1108	HD00		1,000	PC		5,800.00	Casing
☐		3	M	DPCV1108	HD00		1,000	PC		4,000.00	Display Coverage
☐		4	S							10,600.00	
☐		5	G							2,120.00	Material Overhead

Select to return to the *Create Base Planning: Master Data screen*.

Click on Save to save your calculation.



Base planning object EU00 BCSG1108 was saved View Details

Click on SAP to return to the SAP Fiori Launchpad.

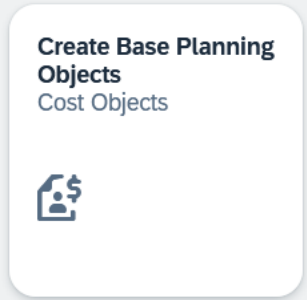
Step 2: Create Variant Semi-finished Product

Task Carry out the sample calculation for the semi-finished product of the Off Road Bike Computer. **Time** 15 Min.

Short Description Carry out a sample calculation for the semi-finished product of the Off Road Bike Computer. Use it to determine the manufacturing costs for this semi-finished product.

Name (position) Jamie Shamblin (Controller)

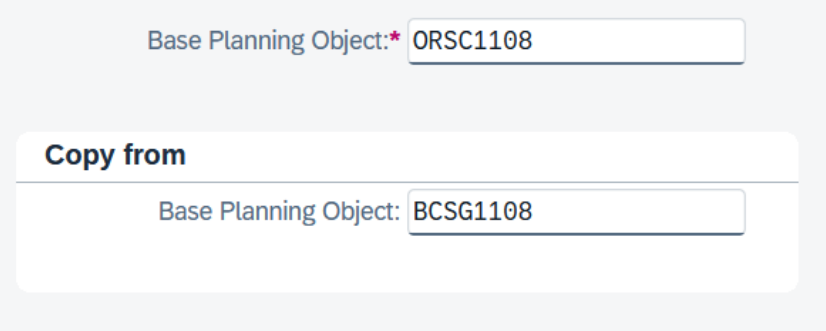
In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the *Create Base Planning Objects* app to create a base planning object. Start



Change the *Controlling area* from NA00 to **EU00** and confirm the change with (*Continue*). EU00

Enter **ORSC1###** (*Off Road Bike Computer semi-finished*) in the *Base Planing Object* field and enter the *Base Planning Object* **BCSG1###** you have just created as a template. ORSC1###

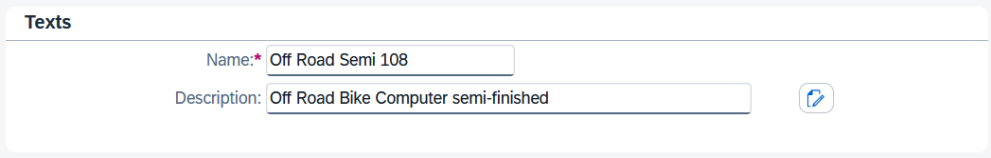
BCSG1###



Press *Enter*. The *Create Base Planning: Master Data* screen appears.

Change the *Name* to **Off Road Semi ###**. Enter **Off Road Bike Computer semi-finished** as the new *Description*. Off Road Comp Semi ###

Off Road Bike Computer semi-finished



Then click on (*Create Cost Estimate*) to create the calculation. The *Create Cost Estimate* window appears. Enter the *Costing Variant* **PG** (*Base Planning Object*) and the *Lot Size* **1000** can be taken over, but remove **BCSG1###** as a template.

PG
1000
~~BCSG1###~~



Click on (*Continue*) to proceed. Sie sehen nun den Bildschirm: *Create Unit Cost Estimate : List Screen – 1*.

In the *Category* column, enter **B** for *Base Planning Object* in the first row, **M** for *Material* in the second row and **S** for *Total* in the third row. Then enter the previously created base planning object **BCSG1###** in the first line of the *Resource* column and **ORCB1###** for the Off Road Circuit Board in the second line.

B
M
S
BCSG1###
ORCB1###

Then enter **HD00** in the second line in the column *Plant/Performance* and **1000** in the first and second line in the column *Quantity*.

HD00
1000

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity
	1	B	BCSG1108			1000
	2	M	ORCB1108	HD00		1000
	3	S				

Press *Enter*. The system automatically adds further information, and also enters the prices for the materials and calculates the total sum of the semi-finished products.

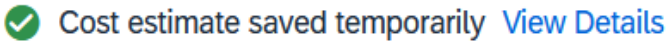
Costing Items - Basic View

Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity	Un...	Lot	Value - Total	Description
	1	B	BCSG1108			1,000	PC		12,720.00	Basic Casing Bike Computer
	2	M	ORCB1108	HD00		1,000	PC		20,000.00	Off Road Circuit Board
	3	S							32,720.00	

Click on Save to save your calculation.

Optional Compare the calculation with your manual invoice for the semi-finished product Off Road Bike Computer.

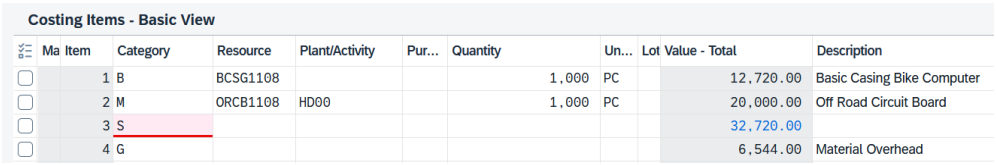
You will be redirected to the master data view and receive the following message in the status bar.



In the *Cost estimate* area, both the total value of the specified batch size and the unit price were determined. Here, the total value differs from the previous sum because the overhead surcharges have now been taken into account.



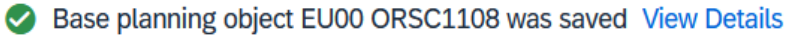
Click on (*Process Cost Estimate Further*) to display the cost estimate again. The system has automatically added a line for overhead to your cost estimate.



Ma	Item	Category	Resource	Plant/Activity	Pur...	Quantity	Un...	Lot	Value - Total	Description
	1	B	BCSG1108			1,000	PC		12,720.00	Basic Casing Bike Computer
	2	M	ORCB1108	HD00		1,000	PC		20,000.00	Off Road Circuit Board
	3	S							32,720.00	
	4	G							6,544.00	Material Overhead

Select to return to the *Create Base Planning: Master Data screen*.

Click on Save to save your calculation.



Click on SAP to return to the SAP Fiori Launchpad.

Step 3: Create Variant Finished Product

Task Carry out the sample calculation for the Off Road Bike Computer. **Time** 20 Min.

Short Description Determine the manufacturing costs for the finished product Off Road Bike computer.

Name (position) Jamie Shamblin (Controller)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the *Create Base Planning Objects* app to create a base planning object.

Start

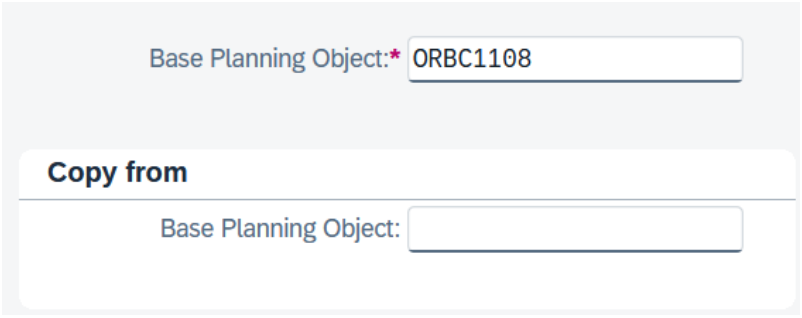


Change the *controlling* area from NA00 to **EU00** and confirm the change with ✓.

EU00

The *Create Base Planning Object: Initial Screen* appears. Enter **ORBC1**### in the *Base Planning Object* field.

ORBC1###

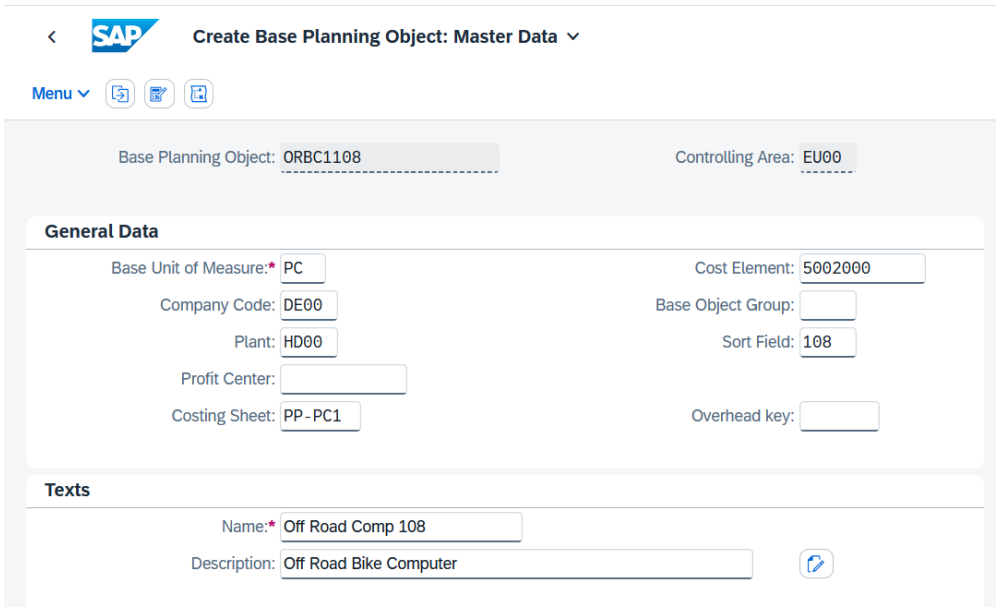


Press *Enter*. The *Create Base Planning Object: Master Data* screen appears. Enter **PC** (*pieces*) as the *Base Unit of Measure* and **5002000** (*expenses for finished products*) as the *Cost Element*. Enter the *Company Code* **DE00** and the *Plant* **HD00**. The *Costing Sheet* is **PP-PC1** (*PP-PC standard*).

PC
5002000
DE00
HD00
PP-PC1

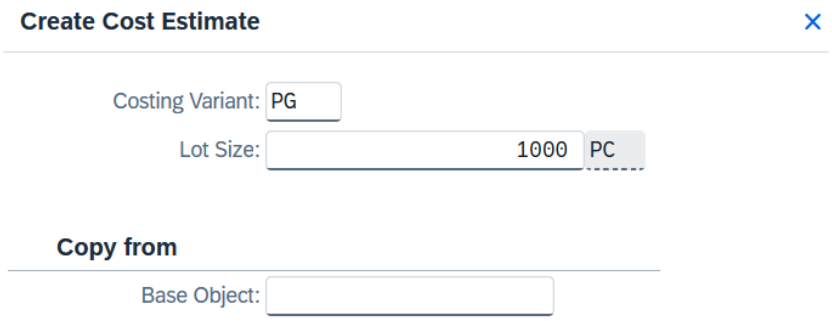
As *Sort Field* enter ### and as *Name* **Off Road Comp ###**. Finally, enter the *Description* **Off Road Bike Computer**.

###
Off Road Comp ###
Off Road Bike Computer



Click on (*Process Cost Estimate Further*...) to create the calculation. The *Create Cost Estimate* window appears. Enter the *Costing Variant* **PG** (*Base Planning Object*) and the *Lot Size* **1000**.

PG
1000



Click on (*Continue*) to proceed. Sie sehen nun den Bildschirm: *Create Unit Cost Estimate : List Screen – 1*.

In the *Category* column, enter **B** for *Base Planning Object* in the first row, **M** for *Material* in the second and third rows, and **S** for *Total* in the fourth and seventh rows. In the fifth and sixth line enter **E** for *Internal Activity*.

B
M
S
E

In the Resource column, enter **ORSC1###** for the semi-finished product Off Road Bike Computer in the first row. In the next two lines, add **ORLB1###** for the Off Road label and **PKBC1###** for the Packaging Bike Computer. In the fifth and sixth lines, enter **EUPR1000**. *EUPR1000* stands for the cost center production cost that performs an activity.

ORSC1###
ORLB1###
PKBC1###
EUPR1000

In the *Plant/Activity* column, enter **HD00** in the second and third lines. In addition to the materials, the operations **MACH** (*machine hours*) and **WAGE** (*wage hours*) enter the cost estimate as activity types. Add these in the fifth and sixth row for the cost center *EUPR1000*.

HD00
MACH
WAGE

In the *Quantity* column, enter **1000** in the first three rows. In the fifth row enter **360** and in the sixth row enter **720**.

1000
360
720

Finally, in the *Unit of Measure* column, enter **MIN** (*minutes*) for machine hours time and wage hours.

MIN

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/...	Pur...	Quantity	Unit of ...
	1	B	ORSC1108			1000	
	2	M	ORLB1108	HD00		1000	
	3	M	PKBC1108	HD00		1000	
	4	S					
	5	E	EUPR1000	MACH		360	MIN
	6	E	EUPR1000	WAGE		720	MIN
	7	S					

Press *Enter*. The system automatically adds more information, and also enters the prices for the materials and calculates the totals. On the one hand the total sum for the materials and then including the necessary services.

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/...	Pur...	Quantity	Unit of ...	Lot	Value - Total	Description
	1	B	ORSC1108			1,000	PC		39,264.00	Off Road Bike Computer semi-finished
	2	M	ORLB1108	HD00		1,000	PC		50.00	Off Road Label
	3	M	PKBC1108	HD00		1,000	PC		150.00	Packaging Bike Computer
	4	S							39,464.00	
	5	E	EUPR1000	MACH		360	MIN		372.00	Machine Hours
	6	E	EUPR1000	WAGE		720	MIN		384.00	Wage Hours
	7	S							40,220.00	

Click on Save to save your calculation.

Optional Compare the calculation with your manual invoice for the product Off Road Bike Computer**.**

You will be redirected to the master data view and receive the following message in the status bar.

Cost estimate saved temporarily View Details

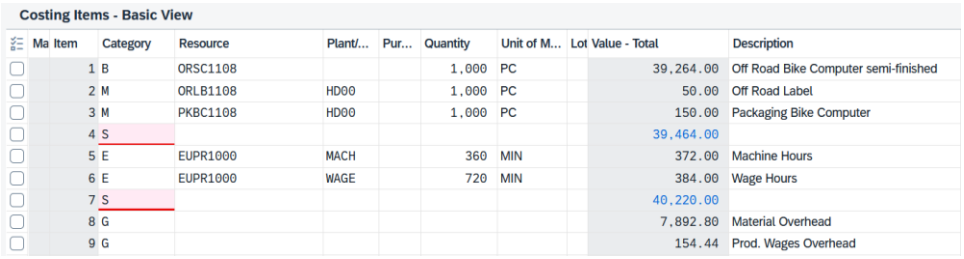
In the *Cost estimate* area, both the total value of the specified lot size and the price per piece were calculated. Here, the total value deviates from the previous sum, as the overhead surcharges have now been taken into account.

Cost estimate

Total Value (LocCur):	48,267.24	EUR
Lot Size:	1,000	PC
Price:	48.27	EUR

Click on (*Process Cost estimate Further*...) to display the cost estimate again. The system has automatically added a line for the overhead to your cost

estimate. In contrast to the previous calculations, the overhead of the production wages has now been taken into account.

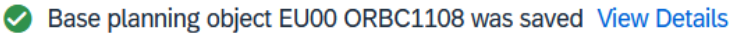


Costing Items - Basic View

Ma	Item	Category	Resource	Plant/...	Pur...	Quantity	Unit of M...	Lot	Value - Total	Description
	1	B	ORSC1108			1.000	PC		39,264.00	Off Road Bike Computer semi-finished
	2	M	ORLB1108	HD00		1.000	PC		50.00	Off Road Label
	3	M	PKBC1108	HD00		1.000	PC		150.00	Packaging Bike Computer
	4	S							39,464.00	
	5	E	EUPR1000	MACH		360	MIN		372.00	Machine Hours
	6	E	EUPR1000	WAGE		720	MIN		384.00	Wage Hours
	7	S							40,220.00	
	8	G							7,892.80	Material Overhead
	9	G							154.44	Prod. Wages Overhead

Select to return to the *Create Base Planning Object: Master Data* screen.

Click on  to save your calculation.



Base planning object EU00 ORBC1108 was saved View Details

Click on  to return to the SAP Fiori Launchpad.

Step 4: Create Cost Estimate with Quantity Structure

Task Create a cost estimate with quantity structure for the Off Road Bike Computer.

Time 15 Min.

Short Description After the manufacturing costs for the bike computer have been determined in advance using the base planning object, you will now create a cost estimate with quantity structure. This is done using the material cost estimate.

Name (position) Shuyuan Chen (Accounting Manager)

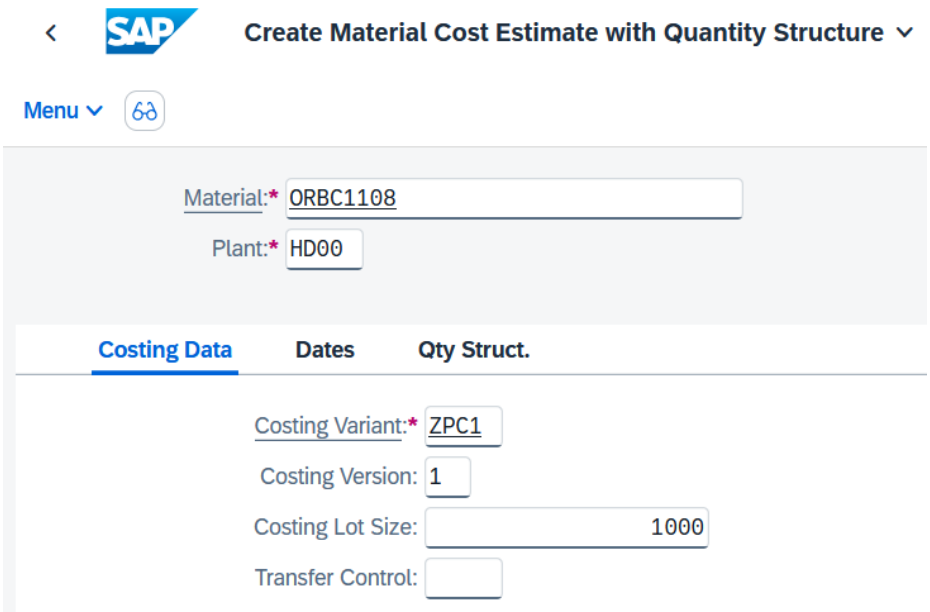
In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the *Create Material Cost Estimates* app to create a Material Cost Estimate.

Start



The *Create Material Cost Estimate with Quantity Structure* screen appears. Enter **ORBC1###** (your finished product Off Road Bike Computer) in the *Material* field and **HD00** (*Heidelberg*) as the *Plant*. The *Costing Variant* is **ZPC1** (*standard cost estimate Mat+OC*), the *Costing Version* is **1** and you enter **1000** in the *Costing lot size* field.

ORBC1###
HD00
ZPC1
1
1000

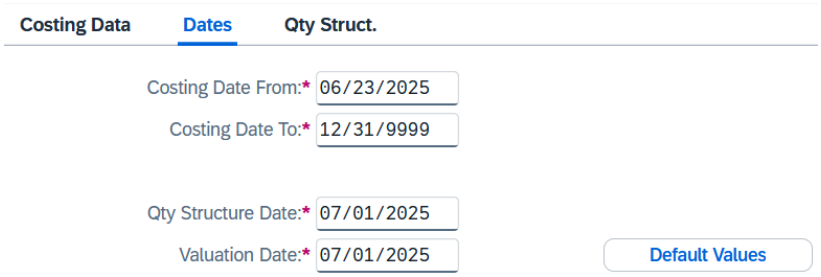


Now select the *Dates* tab. This is not prefilled, click on Default Values to create dates.

The costing dates *from* and *to* indicate the period of validity of the cost estimate. The explosion date determines the point in time at which the then valid quantity structure is used.

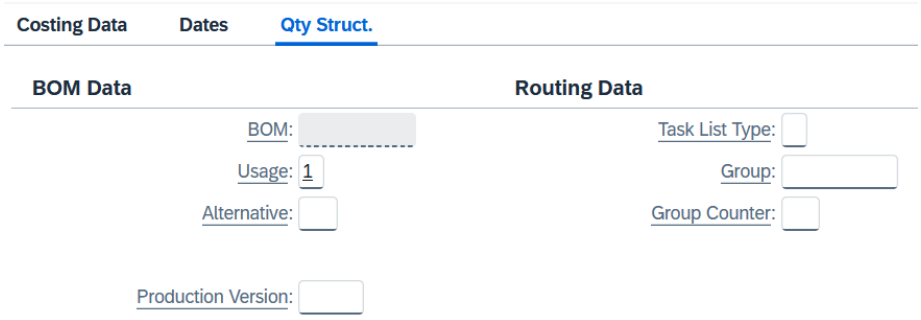
Based on the valuation date, the valid price and date data are selected. Change the date in the *Costing Date From* field to the **current date**.

Current Date

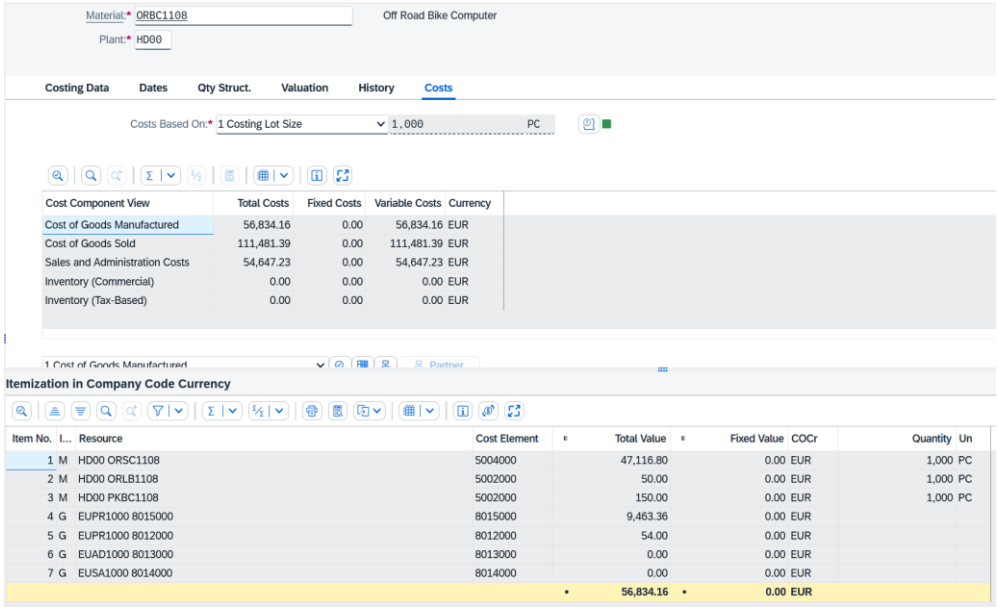


Now click on the *Quantity Structure* (*Qty Struct.*) tab and enter **1** in the *Usage* field. This indicates that the production BOM (Bills of Material) is to be used as the quantity structure for the cost estimate.

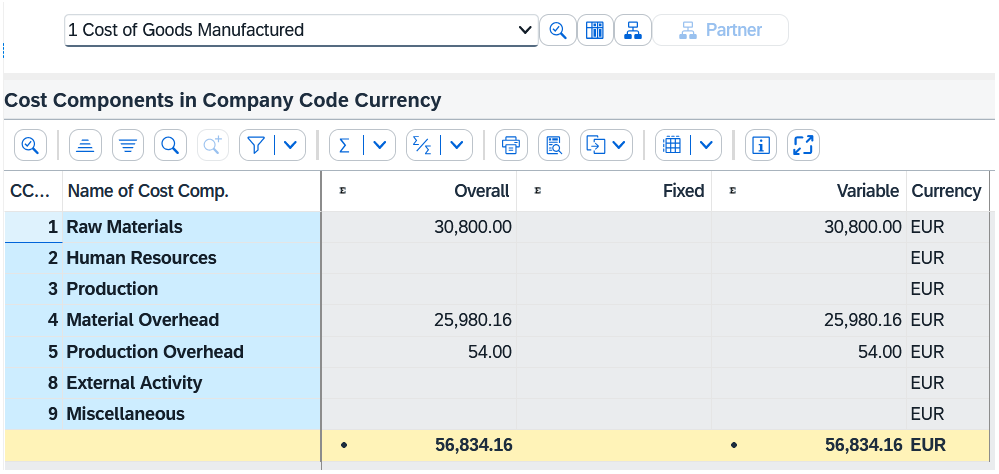
1



Press *Enter*. You will now see the calculation overview.



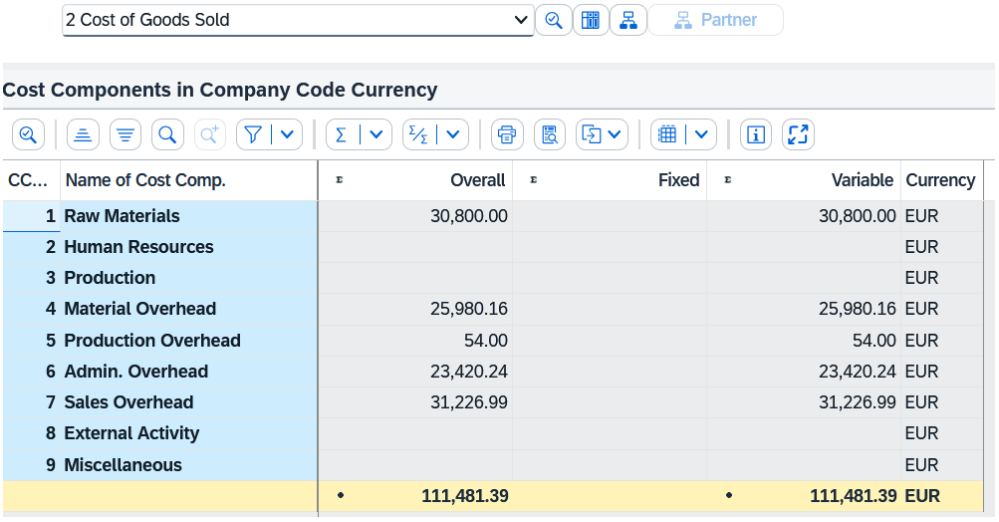
Scroll down and click on (*Cost Comps*) in about the middle of the screen to display the individual Cost Components.



CC...	Name of Cost Comp.	Overall	Fixed	Variable	Currency
1	Raw Materials	30,800.00		30,800.00	EUR
2	Human Resources				EUR
3	Production				EUR
4	Material Overhead	25,980.16		25,980.16	EUR
5	Production Overhead	54.00		54.00	EUR
8	External Activity				EUR
9	Miscellaneous				EUR
		56,834.16		56,834.16	EUR

This overview is similar to the previously created sample cost estimate, the costs can be fundamentally compared with each other.

In the dropdown in the middle of the screen, now change from *Cost of goods manufactured* to *Cost of goods sold*. Additional overhead surcharges are displayed, which are to be assigned to administration and sales. These make up the difference between cost of goods manufactured and cost of goods sold.



CC...	Name of Cost Comp.	Overall	Fixed	Variable	Currency
1	Raw Materials	30,800.00		30,800.00	EUR
2	Human Resources				EUR
3	Production				EUR
4	Material Overhead	25,980.16		25,980.16	EUR
5	Production Overhead	54.00		54.00	EUR
6	Admin. Overhead	23,420.24		23,420.24	EUR
7	Sales Overhead	31,226.99		31,226.99	EUR
8	External Activity				EUR
9	Miscellaneous				EUR
		111,481.39		111,481.39	EUR

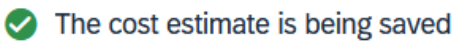
Optional What is the difference between cost of goods sold and cost of goods sold? Research these two cost accounting terms.

On the left side of the screen you can see the structure of the finished product. View the individual components of the product, adjust the size of the area for this purpose if necessary.

Costing Structure	Error Status	Total value	Currency	Quantity	Unit of Measure	Resource
Off Road Bike Computer		111,481.39	EUR	1,000	PC	HD00 ORBC1108
Off Road Bike Computer semi-finished		81,802.08	EUR	1,000	PC	HD00 ORSC1108
Basic Casing		25,058.40	EUR	1,000	PC	HD00 BCSG1108
Pushbutton		1,296.00	EUR	4,000	PC	HD00 PSBT1108
Casing		9,396.00	EUR	1,000	PC	HD00 CSNG1108
Display Coverage		6,480.00	EUR	1,000	PC	HD00 DPCV1108
Off Road Circuit Board		32,400.00	EUR	1,000	PC	HD00 ORCB1108
Off Road Label		50.00	EUR	1,000	PC	HD00 ORLB1108
Packaging Bike Computer		150.00	EUR	1,000	PC	HD00 PKBC1108

Click on Save to save your material costing.

The SAP system saves the cost estimate for material *ORBC1###* and issues a corresponding message.



Click on SAP to return to the SAP Fiori Launchpad.

Step 5: Mark Price Update

Task Memorize the price update. **Time** 10 Min.

Short Description The idea of the price update is the following: While the cost of goods manufactured per Off Road Bike Computer computer has already been calculated in the material cost estimate, no unit prices have yet been entered in the material master for the Bike Computer. With the help of the price update, the unit costs are transferred to the material master as the standard price. The costs are then available as standard cost of goods manufactured and do not have to be recalculated when selling.

Name (position) Shuyuan Chen (Head of Accounting)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Head of Accounting* role, use the *Release Material Cost Estimates* to mark the price update.

Start

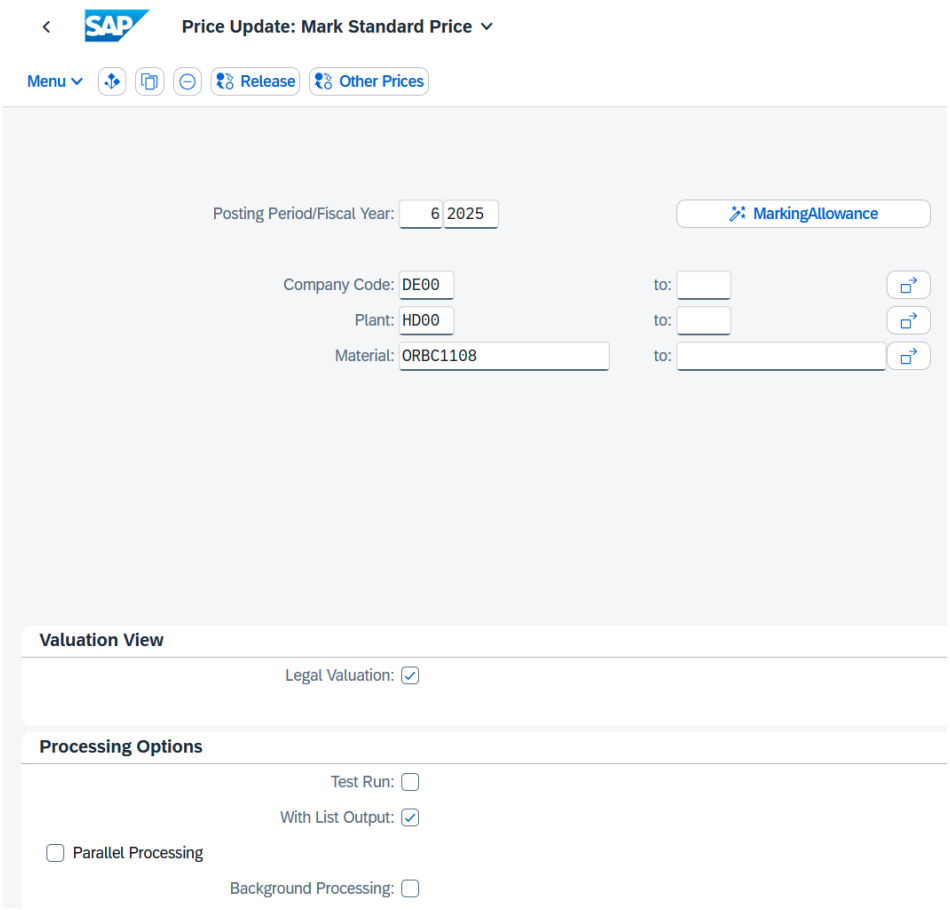


The *Price Update: Mark Standard Price* screen appears. Enter **the current month** and the **current year** as the posting period.

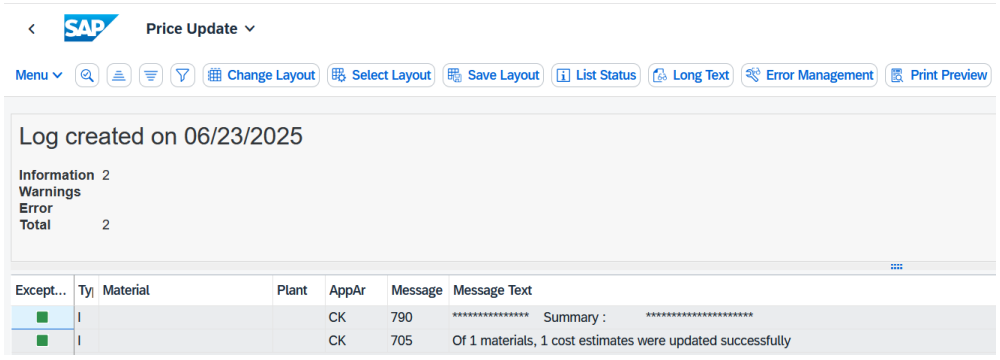
current Month
current Year

Enter **DE00** (Germany) as the *Company Code*, **HD00** as the *Plant* and the *Material* **ORBC1###**. In addition, remove the check mark from **Test run**.

DE00
HD00
ORBC1###
~~Test run~~



Perform the marking with a click on Execute. The system will then give you a log.



The material has now been transferred to the material master as a planned price. The next step is to release it as the current price in the material master.

Click on SAP to return to the SAP Fiori Launchpad.

Step 6: Release Price Update

Task Perform a price release for the Off Road Bike Computer. **Time** 5 Min.

Short Description Release the preregistered price update for the material master. If the period has changed in the meantime, the marking must be performed again. The reason for this is that the marking is done with reference to the posting period and therefore cannot be used for release outside this period.

Name (**position**) Shuyuan Chen (Head of Accounting)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Head of Accounting* role, use the *Release Material Cost Estimates* app to release the price update.

Start



Click on Release to switch from marking to releasing material cost estimates. Again, make sure that the **current month** is selected as the *Posting Period* and the **current year**.

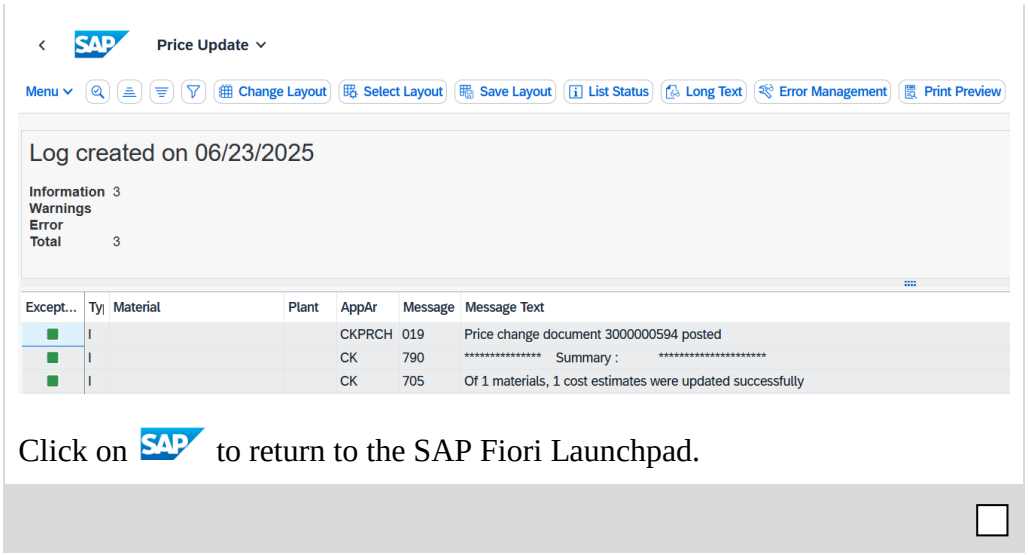
current month
current year

Enter **DE00** (Germany) as the *Company Code*, **HD00** as the *Plant* and the *Material* **ORBC1###**. In addition, remove the check mark from **Test run**.

DE00
HD00
ORBC1###
~~Test run~~



Then perform the release by clicking on Execute. The system then displays the list output.



Click on SAP to return to the SAP Fiori Launchpad.

Step 7: Check Price Update

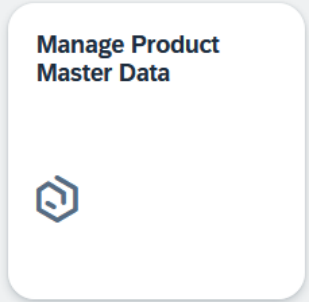
Task Perform a price release check. **Time** 5 min

Short Description Check if the price update was successful. You do this directly in the product master data.

Name (**position**) Jermain Kumins (Production Floor Worker 1)

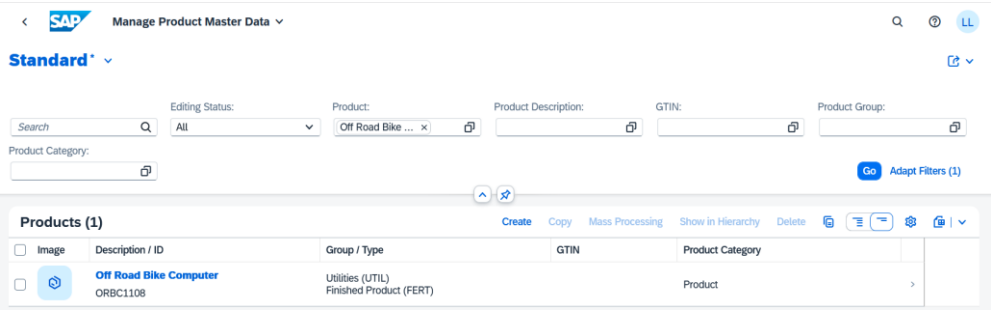
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app to check the current price.

Start



In the search mask, enter **ORBC1###** in the *Product* field and click on Go. The system will display your Off Road Bike Computer.

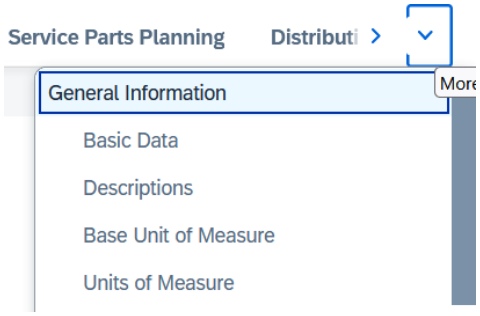
ORBC1###



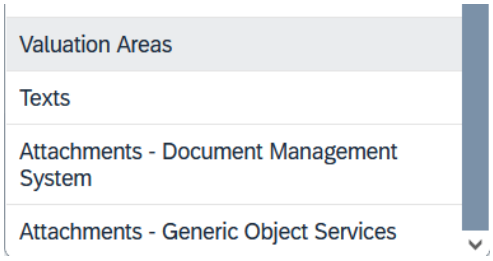
Click on the entry to open the details of the product.

On the right edge of the screen, use the pull-down menu to select the *Valuation Areas* section.

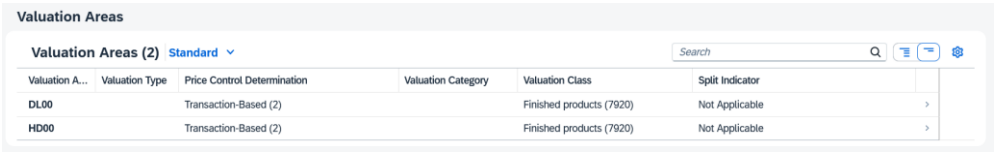
Valuation Areas



...

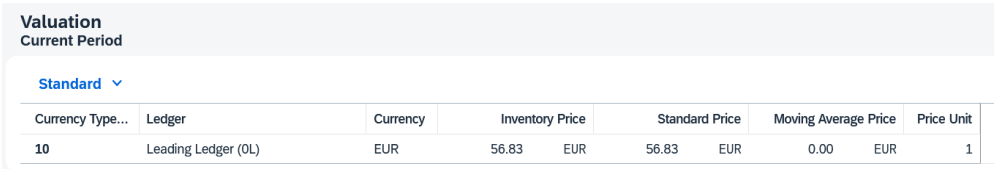


The screen automatically scrolls to the appropriate section.



Click on the line with the Valuation Area *HD00* to view more details of the material.

Select the *Valuation tab* ► *Current period*. Here you can see the price of the posted material cost estimate as the currently valid standard price.



As a result of your price update, the calculated price for the Off Road Bike Computer was updated as the standard price in the material master.

Click on  to return to the SAP Fiori Launchpad.

Step 8: Create Raw Material

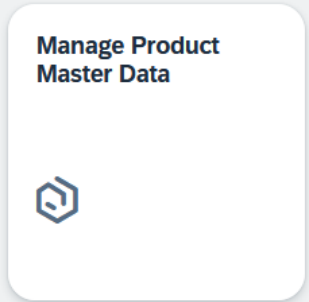
Task Create the touring board as a new raw material. **Time** 10 Min.

Description After you have already worked with the existing Off Road Bike Computer, you will now create another model of the bicycle computer. In advance, the expected costs are determined via sample calculations. As a first step, another circuit board is now created, using the Off Road Circuit Board as a template.

Name (**position**) Jermain Kumins (Production Floor Worker 1)

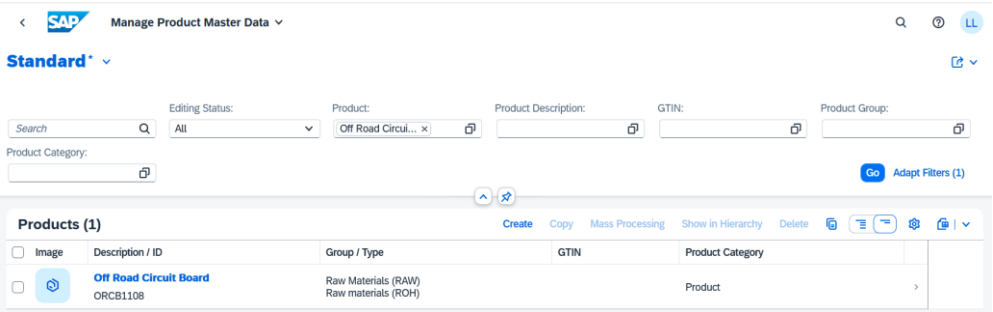
In the *Controlling* area on the *Multi-level Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app to create a new raw material.

Start

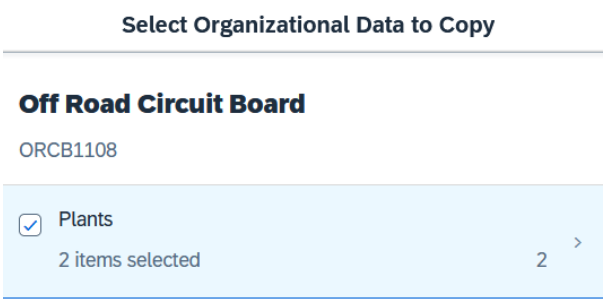


In the search mask, enter **ORCB1###** in the Product field and click on Go. The system will display your Off Road Circuit Board.

ORCB1###



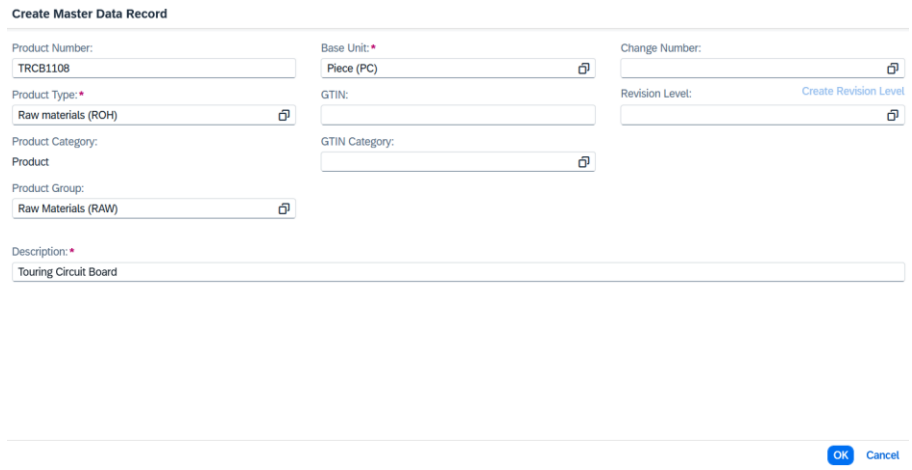
Select the entry and click on Copy. A window opens in which the organizational data to be copied must be selected.



Accept the default setting and click on OK.

In the next window create the basic data of the new master record. Enter **TRCB1###** as the P*roduct Number* and change the *Description* to **Touring Circuit Board**. All other data can be taken over.

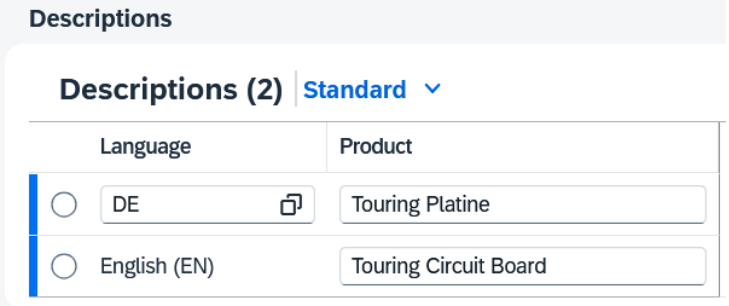
TRCB1###
Touring Circuit Board



Click on OK to proceed.

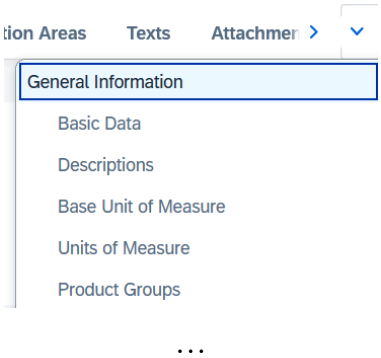
The system now shows you the new data set for your touring board. Scroll to the *Descriptions* in the *General Information* section. Adjust the German name of the product here and enter **Touring Platine**.

Touring Platine

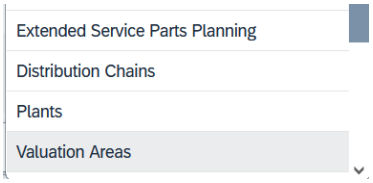


Use the pull-down menu to select the *Valuation Areas* section.

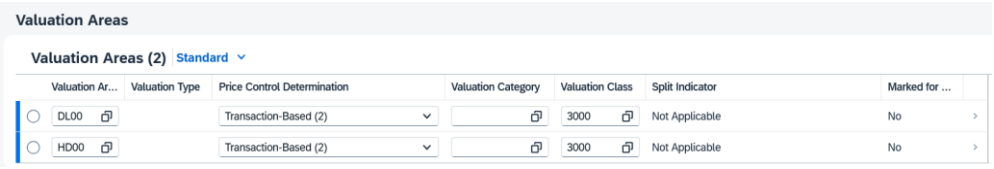
Valuation Areas



...



The screen automatically scrolls to the appropriate section.

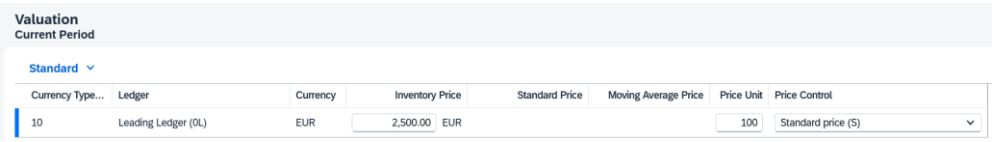


Click on the line with the valuation area *HD00* to view more details of the material in this company code.

Select the *Valuation* tab ► *Current period*.

Change the *inventory price* to **2500 EUR**. The *Price Unit* **100** and **Standard price (S)** as *Price Control* remain.

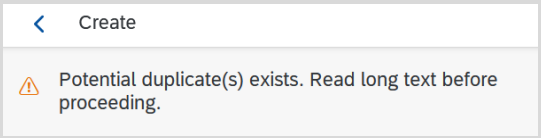
2500 EUR



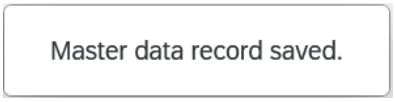
Click on Apply to apply the adjustments. You will automatically return to the previous view.

Now click on Create to save the new product master record.

Note The system may indicate that a duplicate can be created. This is quite correct, because the master data are very similar.



Click again on Create to continue. You will receive a confirmation from the system.



Click on SAP to return to the SAP Fiori Launchpad.

Step 9: Create Variant Semi-finished Product

Task Perform the sample calculation for the semi-finished product Off Road Bike Computer.

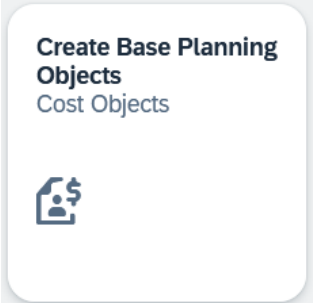
Time 15 Min.

Short Description Create a base object cost estimate for the semi-finished product of the Touring Bike Computer. You will use it to calculate the manufacturing costs for the semi-finished product even before the corresponding master data record has been created.

Name (position) Jamie Shamblin (Controller)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the app *Create Base Planning Objects* to create a base planning object.

Start



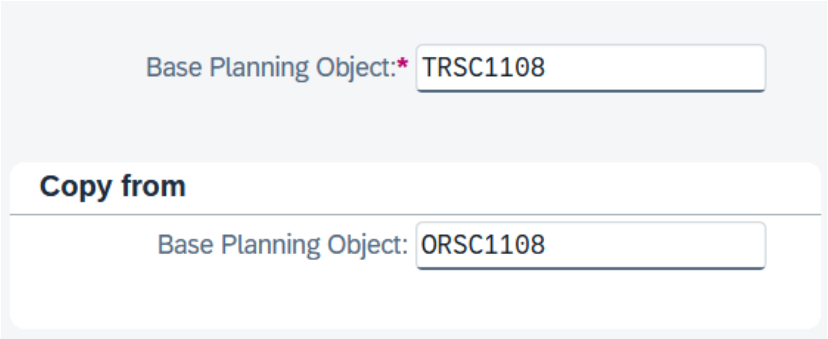
If you are asked for the *Controlling* area, enter **EU00** (Global Bike Europe) and confirm the entry with (*Continue*).

EU00

Enter **TRSC1###** (*Touring Bike Computer semi-finished*) in the first *Base Planning Object* field and enter **ORSC1###** as a *template (Copy from)* in the second *Base Planning Object* field.

TRSC1###

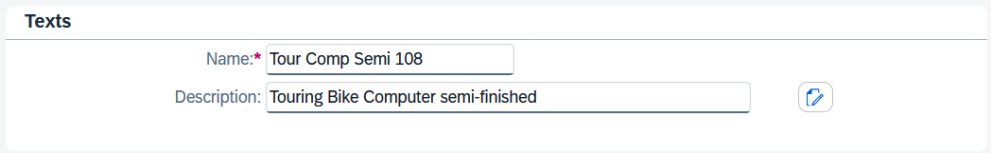
ORSC1###



Press *Enter*. The *Create Base Planning Object: Master Data* screen appears.

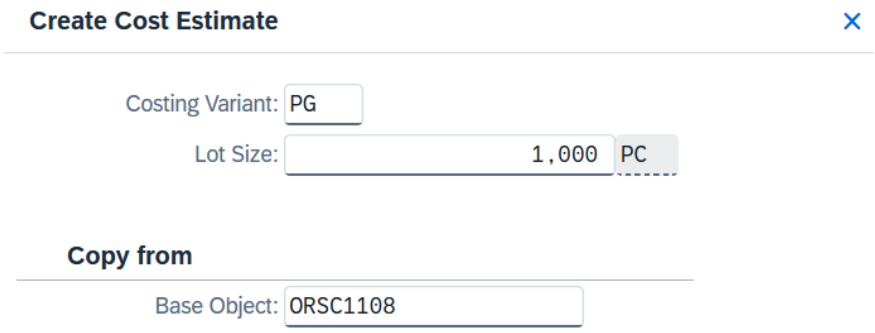
Change the *Name* to **Tour Comp Semi ###**. Enter **Touring Bike Computer semi-finished** as the new *description*.

Tour Comp Semi ###
Touring Bike Computer semi-finished



Then click on (*Create Cost Estimate*) to create the calculation. The *Create Cost Estimate* window appears. The *Costing Variant* **PG** and the *Lot Size* **1000** can be used, as well as the template **ORSC1###** can be adopted

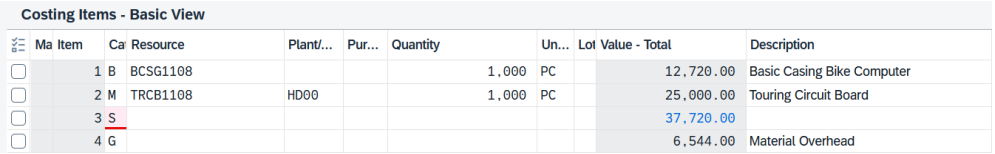
PG
1000
ORSC1100



Click on (*Continue*) to continue. You will now see the screen: *Create unit Cost Estimate: List screen - 1*.

In the second line, change the resource and replace the Off Road Circuit Board **ORCB1###** with the new Touring Circuit Board **TRCB1###**. Press Enter to apply the adjustment.

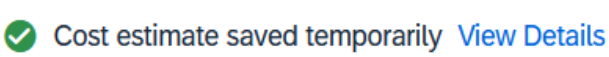
~~ORCB1###~~
TRCB1###



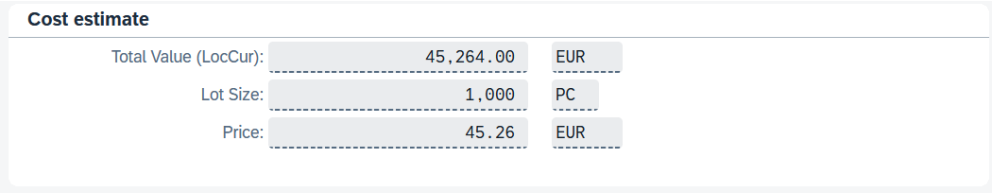
Click on Save to save your calculation.

Optional Compare the calculation with your manual invoice for the product Touring bike computer semi-finished**.**

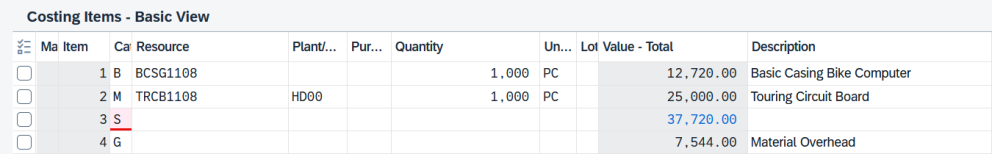
You will be redirected to the master data view and receive the following message in the status bar.



In the *Cost estimate* area, both the total value of the specified lot size and the unit price were calculated.



Click on (*Process Cost Estimate Further*…) to display the cost estimate again. The system has automatically added a line for overhead to your cost estimate.



Costing Items - Basic View

	Ma	Item	Ca	Resource	Plant/...	Pur...	Quantity	Un...	Lot	Value - Total	Description
☐		1	B	BCSG1108			1,000	PC		12,720.00	Basic Casing Bike Computer
☐		2	M	TRCB1108	HD00		1,000	PC		25,000.00	Touring Circuit Board
☐		3	S							37,720.00	
☐		4	G							7,544.00	Material Overhead

Select to return to the *Create Base Planning Object: Master Data* screen.

Click on Save to save your sample calculation.



Click on SAP to return to the SAP Fiori Launchpad.

Step 10: Create Semi-finished Product

Task Create the material above. **Time** 15 Min.

Short Description Now that you have created the Circuit Board for the new Touring Bike computer, here is the associated semi-finished product.

Name (position) Jermain Kumins (Production Worker 1)

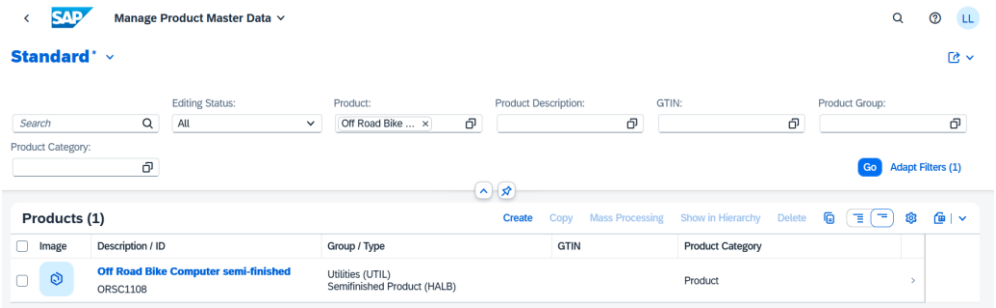
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app.

Start

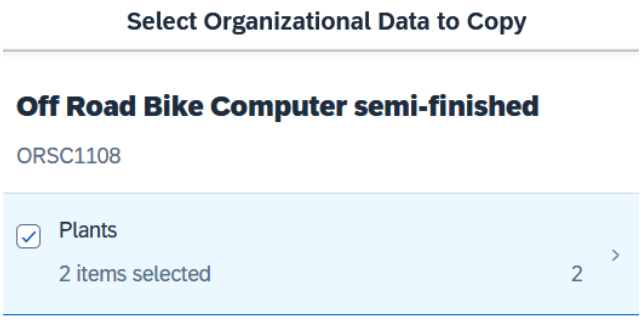


In the search mask, enter **ORSC1###** in the *Product* field and click on Go. The system will display your Off Road Bike Computer semi-finished.

ORSC1###



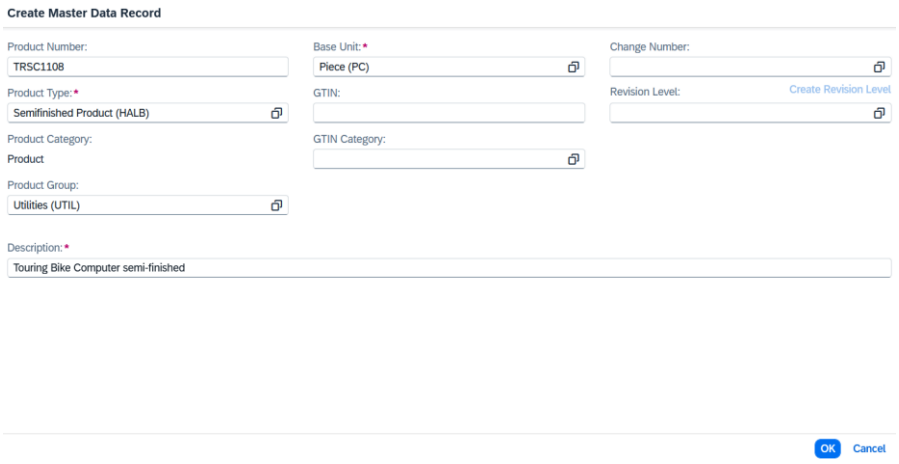
Select the entry and click on Copy. A window opens in which the organizational data to be copied are to be selected.



Accept the default setting and click on OK.

In the next window, create the basic data of the new master record. Enter **TRSC1###** as the *Product Number* and change the *Description* to **Touring Bike Computer semi-finished**. All other data can be taken over.

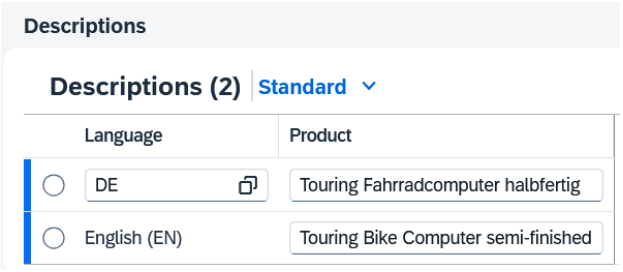
TRSC1###
Touring Bike Computer semi-finished



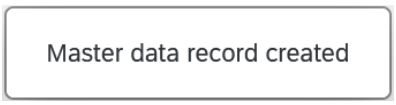
Click on to OK continue.

The system now shows you the new data set for your Touring Bike Computer semi-finished. Scroll to the *Descriptions* in the *General Information* section. Adjust the german name of the product here and enter **Touring Fahrradcomputer halbfertig**.

Touring Fahrradcomputer halbfertig



Click on Create to save the new product master record.



Click on SAP to return to the SAP Fiori Launchpad.

Step 11: Extend Product Master Data Record for Costing

Task Extend the master data record of your new semi-finished product**.** **Time** 5 Min.

Short Description To enable costing with quantity structure, the previously created master data record still needs to be extended**.**

Name (position) Jermain Kumins (Production Worker 1)

In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Change Material* app.

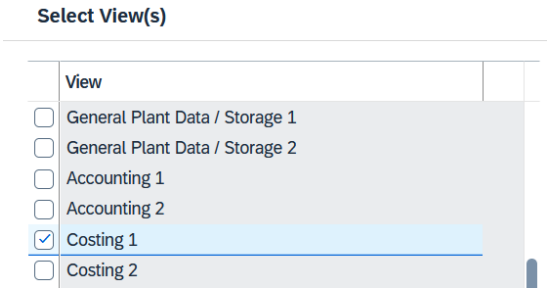
Start



Enter **TRSC1###** in the *Material* field and click on Continue. The *Select View(s)* window opens. Select the view *Costing 1*.

TRSC1###

Costing 1



Confirm the selection by clicking on ✓ (*Continue*).

In the following window, specify *Organizational Levels* for *Plant* **HD00** and confirm again with ✓ (*Continue*).

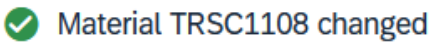
HD00

Select the **With Qty Structure** and **Material origin** checkboxes.

With Qty Structure
Material origin



Click on Save to apply the changes. You will receive a confirmation from the system.



Click on SAP to return to the SAP Fiori Launchpad.

Step 12: Create BOMs (Bill of Materials)

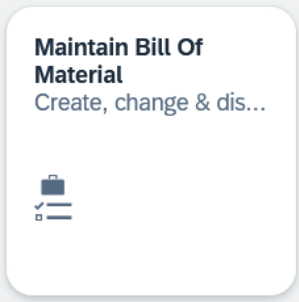
Task Create a BOM for the product *Touring bike computer* semi-finished. **Time** 15 Min..

Short Description Create a BOM for the semi-finished product created previously. Here you use on the one hand the new Touring circuit board and on the other hand the already existing Basic Casing for Bike computers.

Name (position) Jermain Kumins (Production Worker 1)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Shop Floor Worker* role, use the *Maintain Bill of Material* to create a BOM.

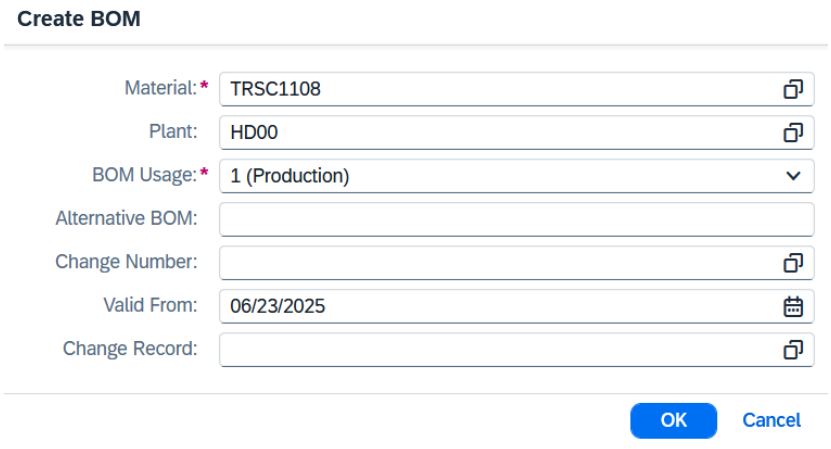
Start



Click on Create BOM to create a new BOM . The *Create BOM* window opens.

In the *Material* field, enter the semifinished product you just created, **TRSC1###**. Furthermore, enter **HD00** as the *Plant* and select **1** (Production) for the *BOM Usage*.

TRSC1###
HD00
1 (Production)



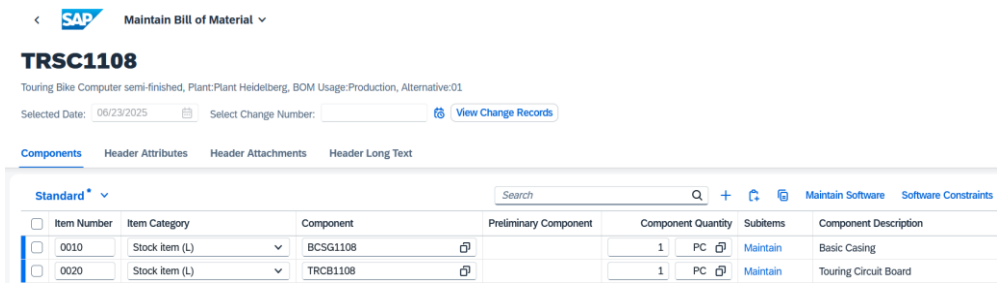
Click on OK to accept your input.

The *Maintain Bill of Materials* screen appears. In the list, for the first two items, enter **BCSG1###** (Basic Casing) and **TRCB1###** in the *Component* column.

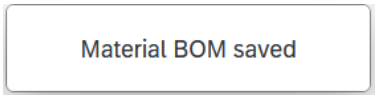
BCSG1###
TRCB1###

In the Component Quantity column, add **1** in each case.

1



Click on Create to save the new BOM. You will receive a confirmation from the system.



Click on SAP to return to the SAP Fiori Launchpad.

Step 13: Change BOMs

Task Change a BOM for the product *Touring bike computer* semi-finished. **Time** 15 Min..

Name (position) Jermain Kumins (Production Worker 1)

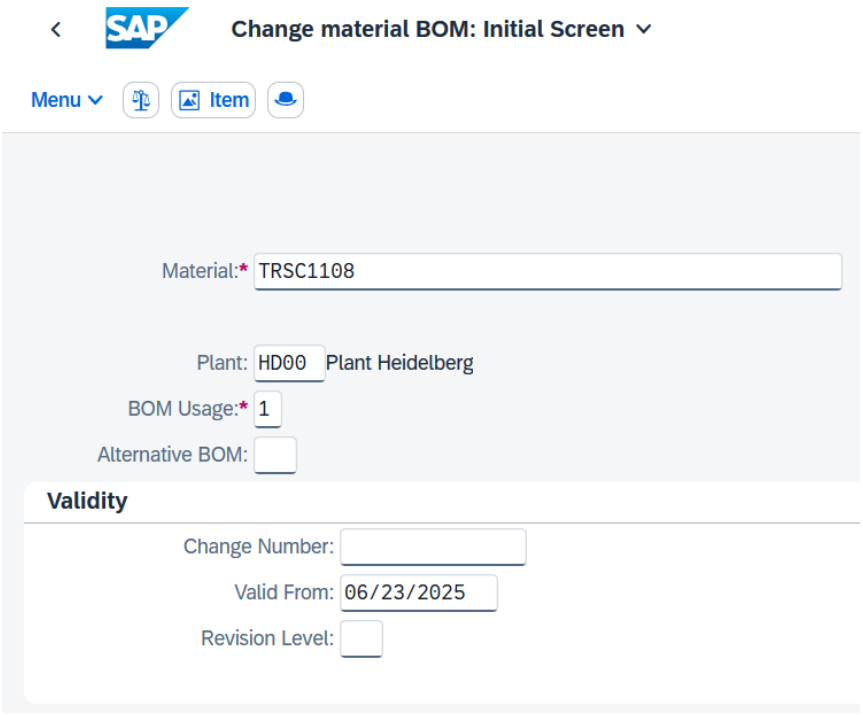
In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Shop Floor Worker* role, use the *Maintain Bill of Material* to change a BOM.

Start



In the *Material* field, enter the semifinished product you just created, **TRSC1###**. Furthermore, enter **HD00** as the *Plant* and select **1** (Production) for the *BOM Usage*.

TRSC1###
HD00
1 (Production)

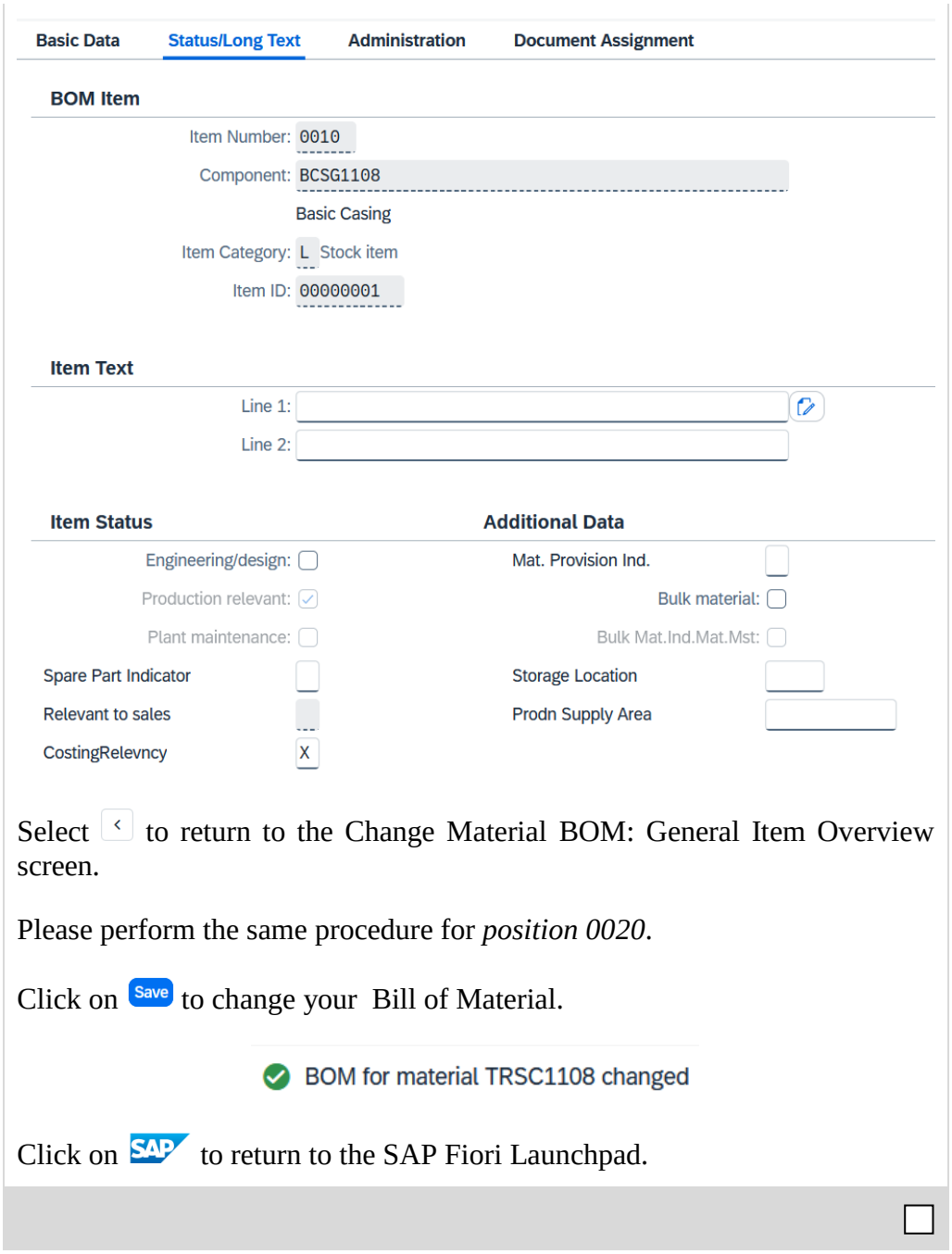


Click on Item.

Double-click on the *0010 position* to open the details.

Please switch to the *Status/Long text* tab and select **X (100% Relevant to Costing)** for CostingRelevncy in this area.

X



Select ‹ to return to the Change Material BOM: General Item Overview screen.

Please perform the same procedure for *position 0020*.

Click on Save to change your Bill of Material.

Click on SAP to return to the SAP Fiori Launchpad.

Step 14: Create Packaging

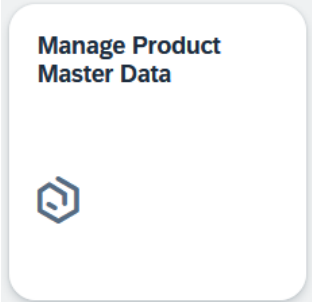
Task Create the above material. **Time** 10 Min.

Short Description A sticker is placed on the packaging to make the product *Touring Bike Computer* recognizable as such. The sticker in question is supplied by a printing company. You will also need a separate material master record for the new sticker.

Name (**position**) Jermain Kumins (Production Worker 1)

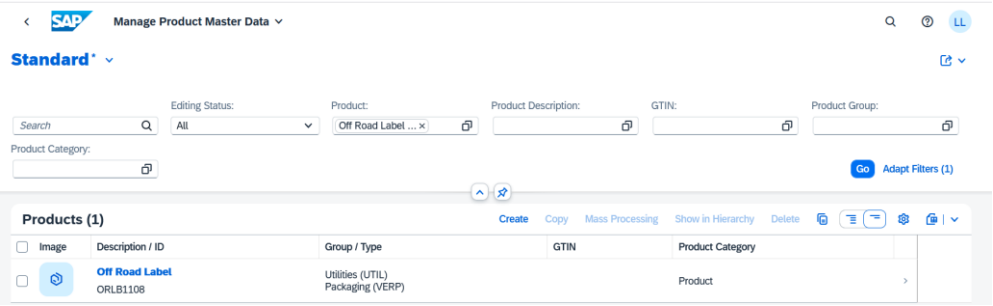
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app.

Start

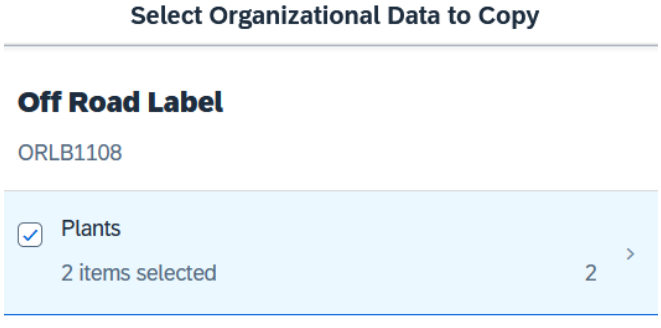


In the search mask, enter **ORLB1###** in the *Product* field and click on Go. The system will display your Off Road Label.

ORLB1###



Select the entry and click on Copy. A window opens in which the Organizational Data to be copied must be selected.

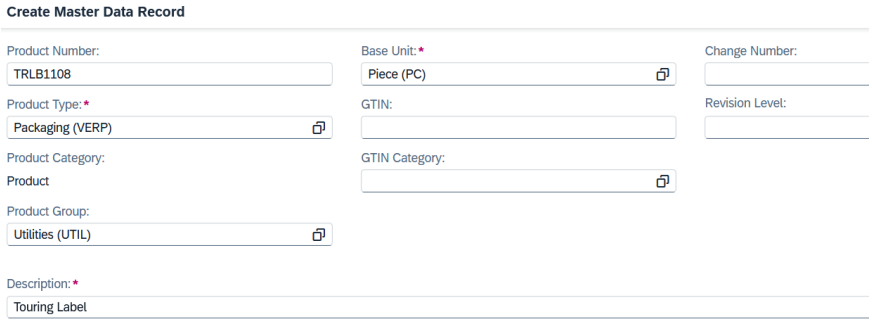


Accept the default setting and click on OK.

In the next window create the basic data of the new master record. Enter **TRLB1###** as the *Product Number* and change the *Description* to **Touring Label**. All other data can be taken over.

TRLB1###

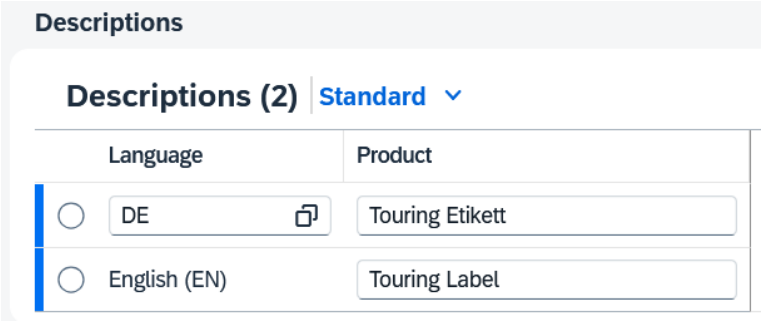
Touring Label



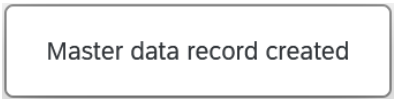
Click on OK to continue.

The system will now show you the new record for your touring label. Scroll to the *Descriptions* in the *General Information* section. Adjust the German name of the product here and enter **Touring Etikett**.

Touring Etikett



Click on Create to save the new product master record.



Click on SAP to return to the SAP Fiori Launchpad.

Step 15: Sample Costing Finished Product

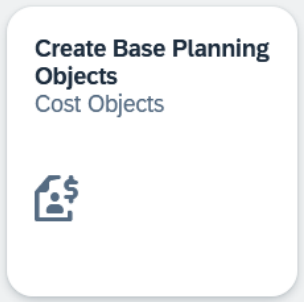
Task Perform the sample costing for the Touring bike computer. **Time** 20 Min.

Short Description Create a base planning object for the new finished product Touring bicycle computer. The sample costing can be done before the actual material master of the product is created and thus provide information about the potential manufacturing costs in advance.

Name (position) Jamie Shamblin (Controller)

Again, in the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the *Create Base Planning Objects* app.

Start

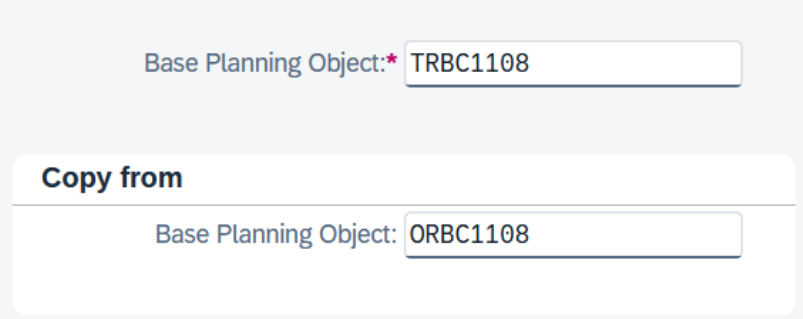


If you are asked for the *controlling* area, enter **EU00** (Global Bike Europe) and confirm the entry with (*Continue*).

EU00

The Create Base Planning Object: Initial Screen appears. Enter **TRBC1###** in the Base *Planning Object* field and **ORBC1###** as the template (*Copy from*).

TRBC1###
ORBC1###



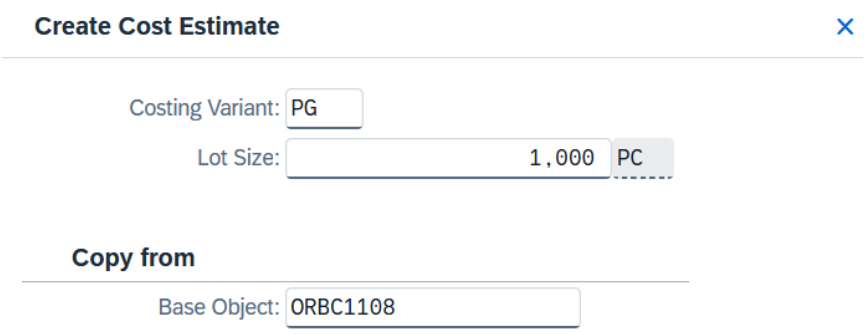
Change the *Name* to **Tour Comp ###**. Enter **Touring Bike Computer** as the new *Description*.

Tour Comp ###
Touring Bike Computer



Then click on (*Create Cost Estimate*) to create the calculation. The *Create Cost Estimate* window appears. Enter the *Costing Variant* **PG** (Base Planning Object) and the *Lot Size* **1000**.

PG
1000



Click on (*Continue*) to continue. You will now see the screen: *Create unit Cost Estimate: List screen - 1*.

In the first and second line, change the resource and replace the *Off Road Bike Computer semi-finished* **ORSC1###** with the new *Touring Bike Computer semi-finished* **TRSC1###**, and the *Off Road Label* **ORLB1###** with the *Touring Label* **TRLB1###**. Press Enter to apply the adjustment.

~~ORSC1###~~
TRSC1###

~~ORLB1###~~
TRLB1###

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/...	Pur...	Quantity	Un...	Lot	Value - Total	Description
	1	B	TRSC1108			1,000	PC		45,264.00	Touring Bike Computer semi-finished
	2	M	TRLB1108	HD00		1,000	PC		50.00	Touring Label
	3	M	PKBC1108	HD00		1,000	PC		150.00	Packaging Bike Computer
	4	S							45,464.00	
	5	E	EUPR1000	MACH		360	MIN		372.00	Machine Hours
	6	E	EUPR1000	WAGE		720	MIN		384.00	Wage Hours
	7	S							46,220.00	
	8	G							7,892.80	Material Overhead
	9	G							154.44	Prod. Wages Overhead

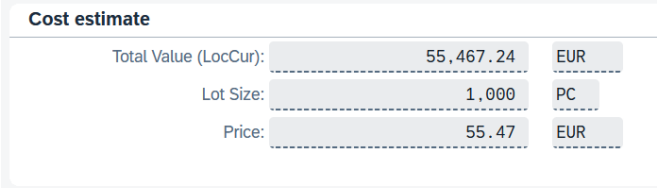
Click on Save to save your calculation.

Optionally compare the calculation with your manual invoice for the product Touring bike computer.

You will be redirected to the master data view and receive the following message in the status bar.

Cost estimate saved temporarily View Details

In the *Cost estimate* area, both the total value of the specified lot size and the unit price were calculated. Here, the total value deviates from the previous sum, since the overhead surcharges have now been taken into account.



Click on (*Process Cost Estimate Further*) to display the cost estimate again. The system has automatically added a line for the overhead to your cost estimate. In contrast to the previous calculations, the overhead of the production wages has now been taken into account.

Costing Items - Basic View

Ma	Item	Category	Resource	Plant/...	Pur...	Quantity	Un...	Lot	Value - Total	Description
	1	B	TRSC1108			1,000	PC		45,264.00	Touring Bike Computer semi-finished
	2	M	TRLB1108	HD00		1,000	PC		50.00	Touring Label
	3	M	PKBC1108	HD00		1,000	PC		150.00	Packaging Bike Computer
	4	S							45,464.00	
	5	E	EUPR1000	MACH		360	MIN		372.00	Machine Hours
	6	E	EUPR1000	WAGE		720	MIN		384.00	Wage Hours
	7	S							46,220.00	
	8	G							9,092.80	Material Overhead
	9	G							154.44	Prod. Wages Overhead

Select to return to the *Create Base Planning Object: Master Data* screen.

Click on Save to save your calculation.

Base planning object EU00 TRBC1108 was saved View Details

Click on SAP to return to the SAP Fiori Launchpad.

Step 16: Create Finished Product

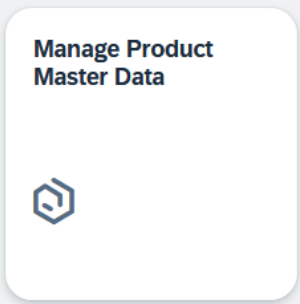
Task Create the above material. **Time** 15 Min.

Short Description Now create the material master for the finished product Touring bike computer.

Name (**position** Jermain Kumins (Production Worker 1)

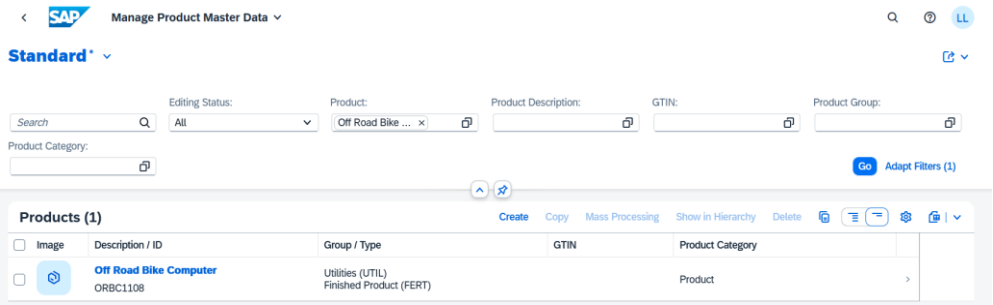
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app.

Start

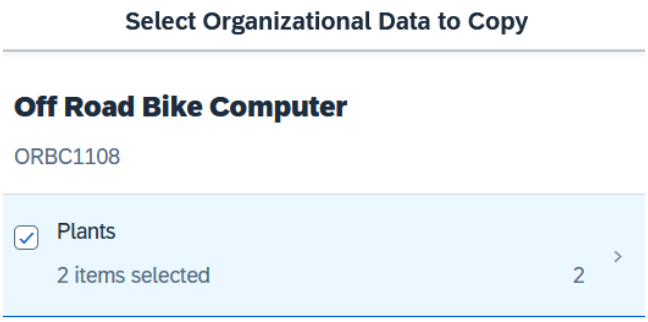


In the search mask, enter **ORBC1###** in the *Product* field and click on Go. The system will display your Off Road Bike Computer.

ORBC1###



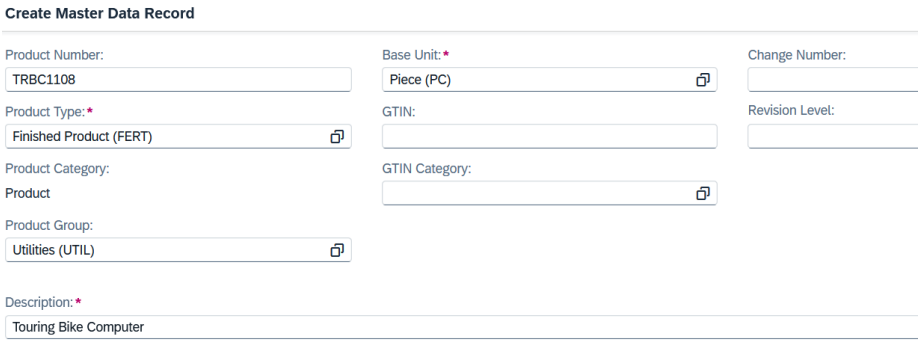
Select the entry and click on Copy. A window opens in which the Organizational Data to be copied must be selected.



Accept the default setting and click on OK.

In the next window create the basic data of the new master record. Enter **TRBC1###** as the *Product Number* and change the *Description* to **Touring Bike Computer**. All other data can be taken over.

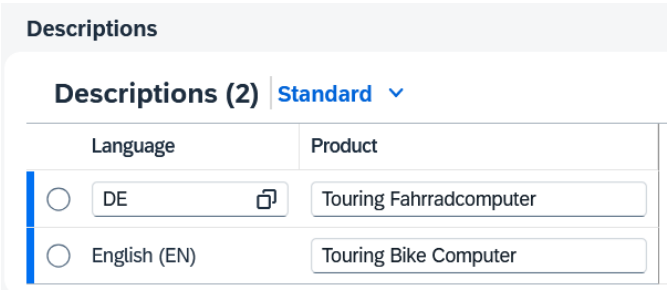
TRBC1###
Touring Bike Computer



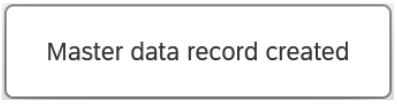
Click on OK to continue.

The system now shows you the new data set for your Touring bike computer. Scroll to the *Descriptions* in the *General Information* section. Adjust the German name of the product here and enter **Touring Fahrradcomputer**.

Touring
Fahrradcomputer



Click on Create to save the new product master record.



Click on SAP to return to the SAP Fiori Launchpad.

Step 17: Extend Product Master Data Record for Costing

Task Extend the master data record of your new finished product. **Time** 5 Min.

Short Description To enable costing with quantity structure, the previously created master data record still needs to be extended.

Name (position) Jermain Kumins (Production Worker 1)

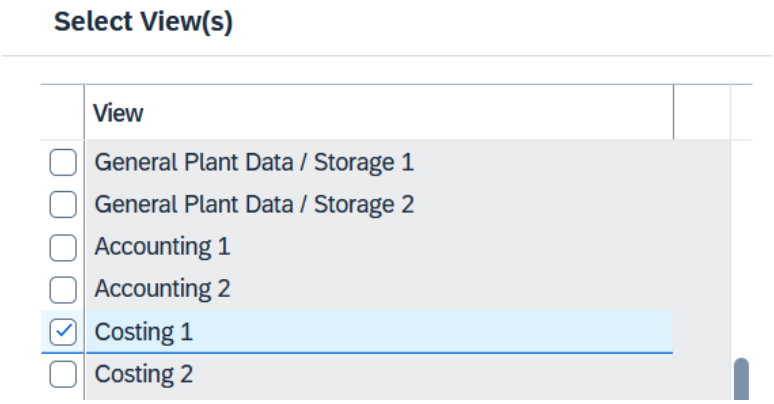
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Change Material* app.

Start



Enter **TRBC1###** in the *Material* field and click on Continue. The *Select View(s)* window opens. Select the view *Costing 1*.

TRBC1###
Costing 1



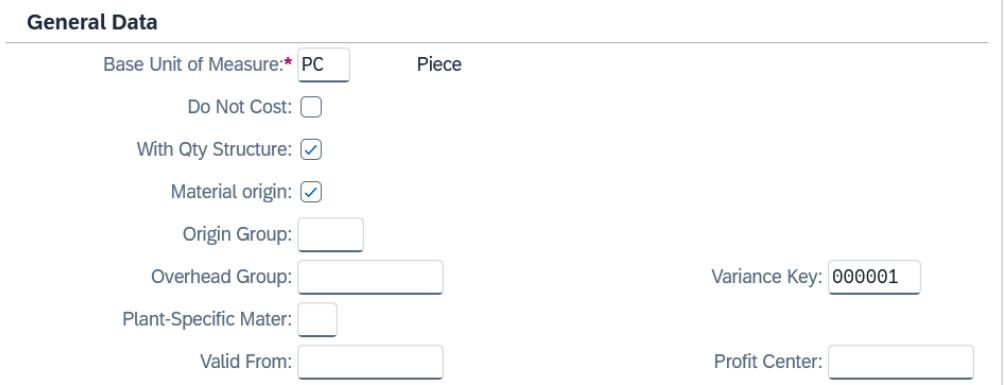
Confirm the selection by clicking on ✓ (*Continue*).

In the following window, specify *Organizational Levels* for *Plant* **HD00** and confirm again with ✓ (*Continue*).

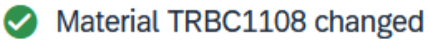
HD00

Select the **With Qty Structure** and **Material origin** checkboxes.

With Qty Structure
Material origin



Click on Save to apply the changes. You will receive a confirmation from the system.



Click on SAP to return to the SAP Fiori Launchpad.

Step 18: Create BOMs

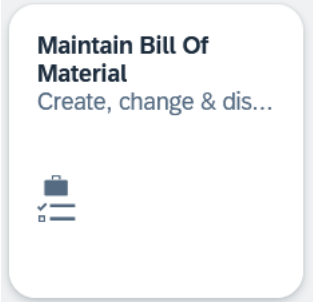
Task Create a BOM for the finished product Touring bike computer. **Time** 15 Min.

Short Description This BOM now assembles the semi-finished product of the Touring bike computer with the two packaging materials to form the finished product.

Name (**position**) Jermain Kumins (Production Worker 1)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Shop Floor Worker* role, use the *Maintain Bill of Material* to create BOM.

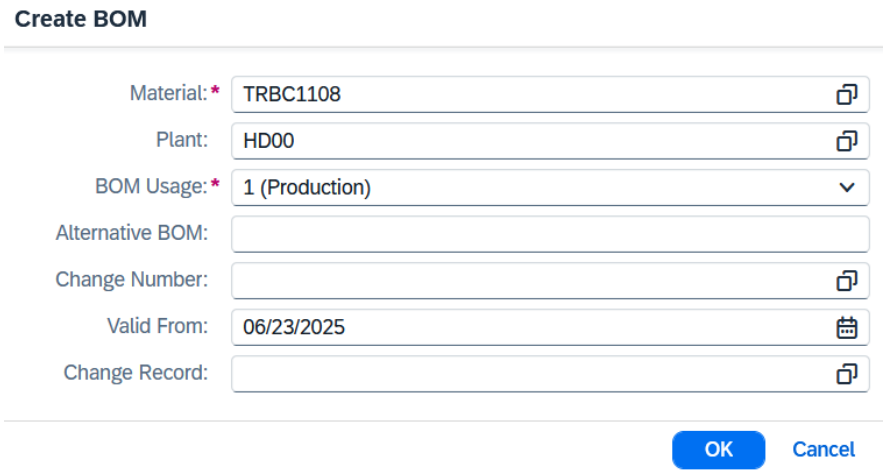
Start



Click on Create BOM to create a new BOM . The *Create BOM* window opens.

In the *Material* field, enter the finished product you just created, **TRBC1###**. Furthermore, enter **HD00** as the *Plant* and select **1** (**Production**) for the *BOM Usage*.

TRBC1###
HD00
1 (Production)



Click on OK to accept your input.

The *Maintain Bill of Materials* screen appears. In the *Item Category* column, select **N(Non-stock item)** for the second and third items.

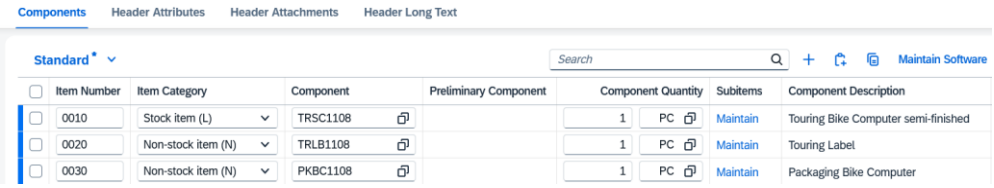
N(non-stock item)

Then enter **TRSC1###** (Touring Bike Computer semi-finished), **TRLB1###** (Touring Label) and **PKBC1###** (Packaging Bike computer) in the *Component* column in the first three lines. The last two components do not

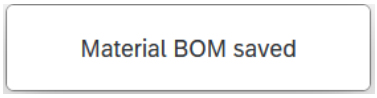
TRSC1###
TRLB1###
PKBC1###

have their own storage location and are used directly during production. Therefore these are the non-stock items.

Add a quantity of **1** in the *Component quantity* column, *PC* is automatically preselected as the *Unit of Measure* when you enter the components. 1



Click on Create to save the new BOM. You will receive a confirmation from the system.



Click on SAP to return to the SAP Fiori Launchpad.

Step 19: Change BOMs

Task Change a BOM for the product *Touring bike computer* semi-finished. **Time** 15 Min..

Name (position) Jermain Kumins (Production Worker 1)

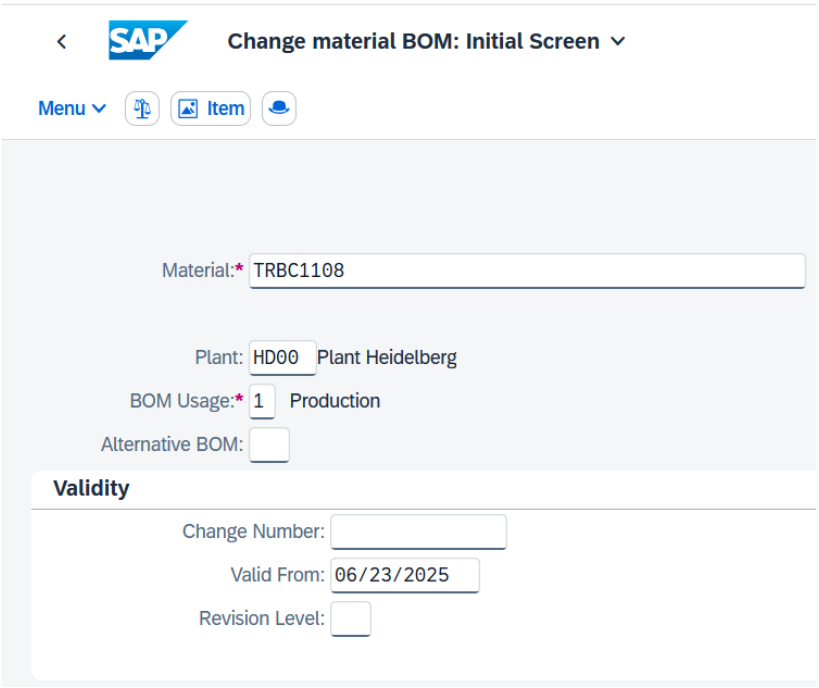
In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Shop Floor Worker* role, use the *Maintain Bill of Material* to change a BOM

Start



In the *Material* field, enter the semifinished product you just created, **TRBC1###**. Furthermore, enter **HD00** as the *Plant* and select **1** (Production) for the *BOM Usage*.

TRBC1###
HD00
1 (Production)

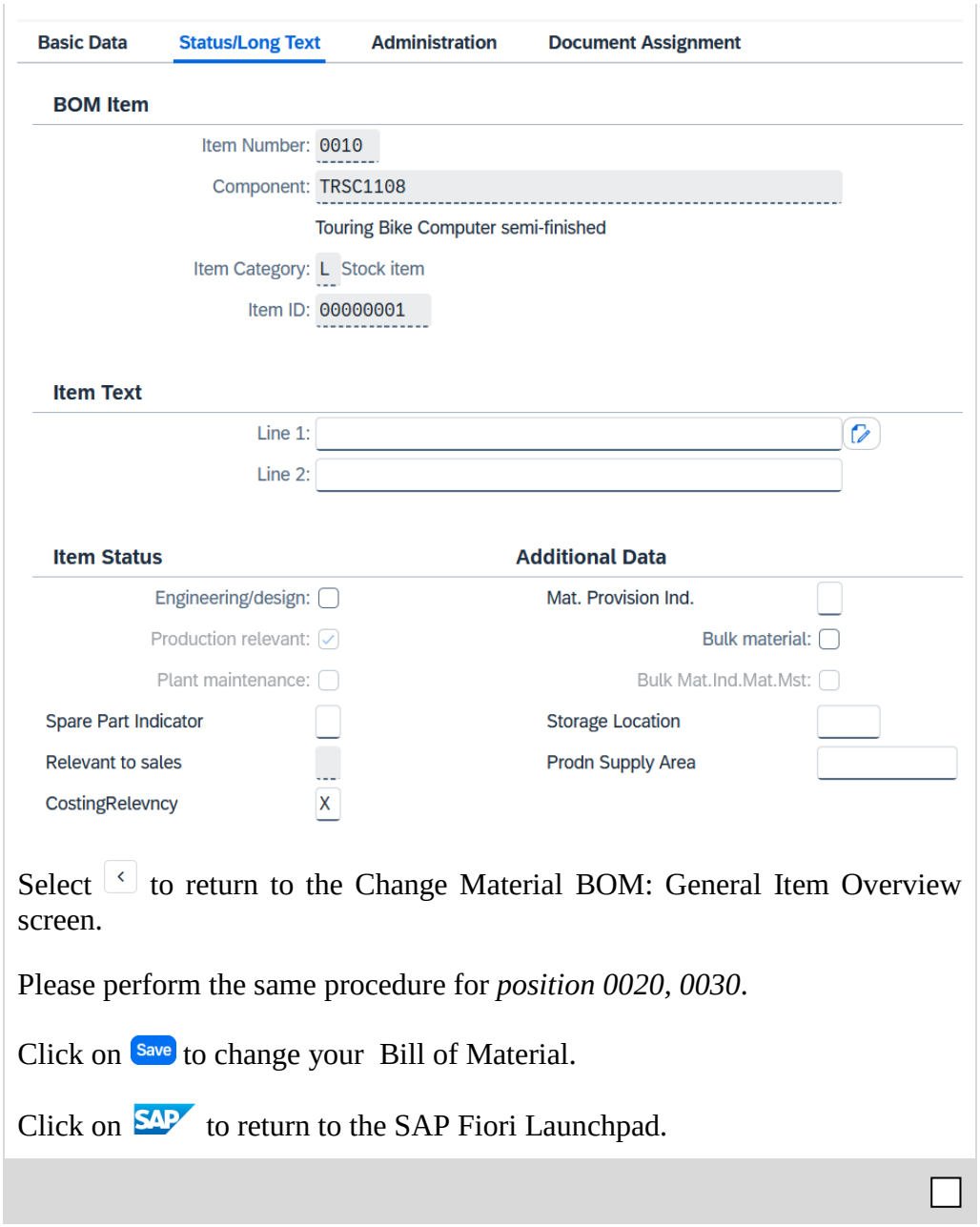


Click on Item.

Double-click on the *0010 position* to open the details.

Please switch to the *Status/Long text* tab and select **X (100% Relevant to Costing)** for CostingRelevncy in this area.

X



Select ‹ to return to the Change Material BOM: General Item Overview screen.

Please perform the same procedure for *position 0020, 0030*.

Click on Save to change your Bill of Material.

Click on SAP to return to the SAP Fiori Launchpad.

Step 20: Create Cost Estimate with Quantity Structure

Task Create a cost estimate with quantity structure for the Touring bike computer.

Time 15 Min.

Short Description After the manufacturing costs for the bicycle computer have been calculated in advance using the base planning object, a cost estimate with quantity structure is now created. This is done with the help of the material cost estimate.

Name (**position**) Shuyuan Chen (Accounting Manager)

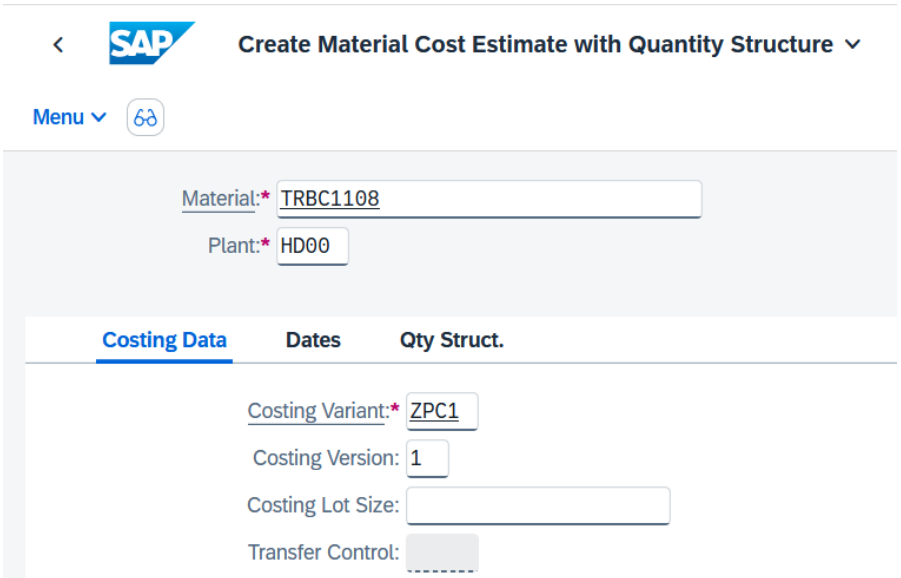
In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Controller* role, use the *Create Material Cost Estimates* app to create a material cost estimate.

Start



The *Create Material Cost Estimate with Quantity Structure* screen appears. Enter **TRBC1###** (your finished product Touring Bike Computer) in the *Material* field and **HD00** (*Heidelberg*) as the *Plant*. The *Costing Variant* is **ZPC1** (*standard cost estimate Mat+OC*), the *Costing Version* is **1** and you enter **1000** in the *Costing Lot Size* field.

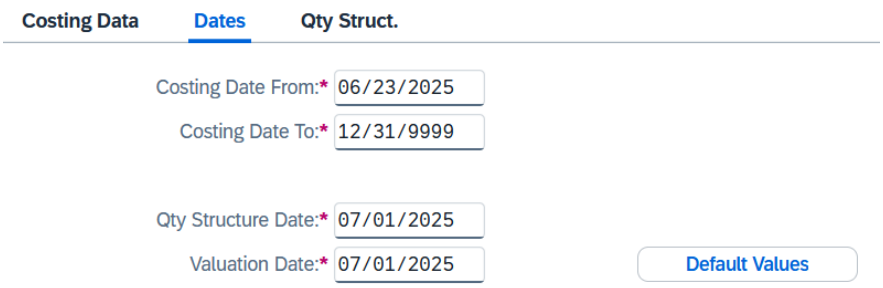
TRBC1###
HD00
ZPC1
1
1000



Now select the *Dates* tab. This is not prefilled, click on Default Values to create dates.

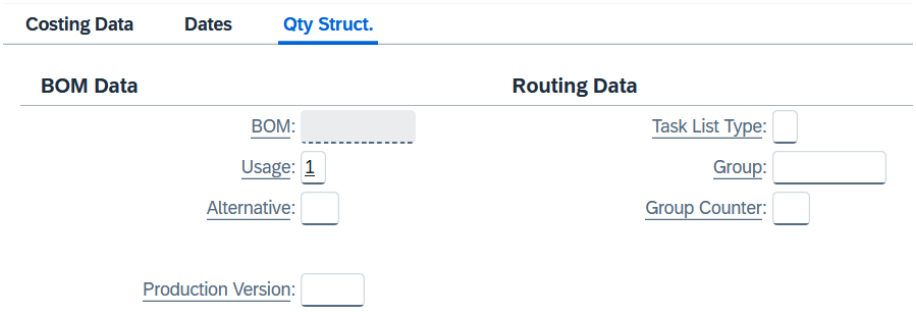
The costing dates *from* and *to* indicate the period of validity of the cost estimate. The explosion date determines the point in time at which the then valid quantity structure is used. Based on the valuation date, the valid price and date data are selected. Change the date in the *Costing Date From* field to the **current date**.

Current Date

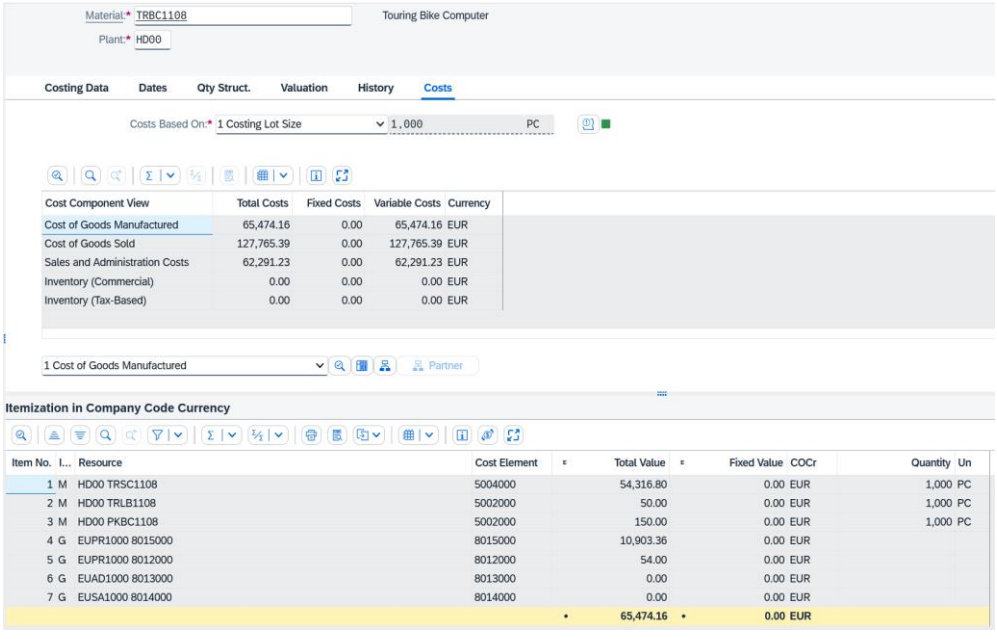


Now click on the *Quantity Structure* (*Qty Struct.*) tab and enter **1** in the *Usage* field. This indicates that the production BOM is to be used as the quantity structure for the cost estimate.

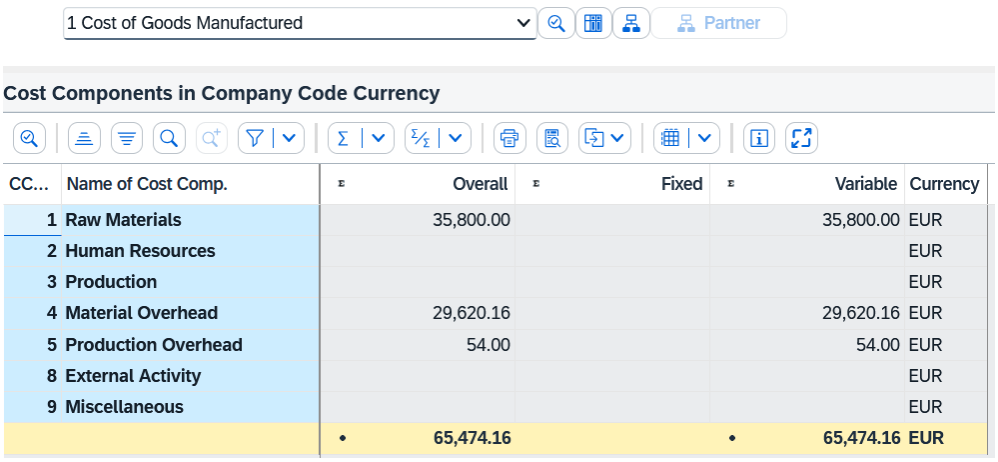
1



Press Enter. You will now see the calculation overview.



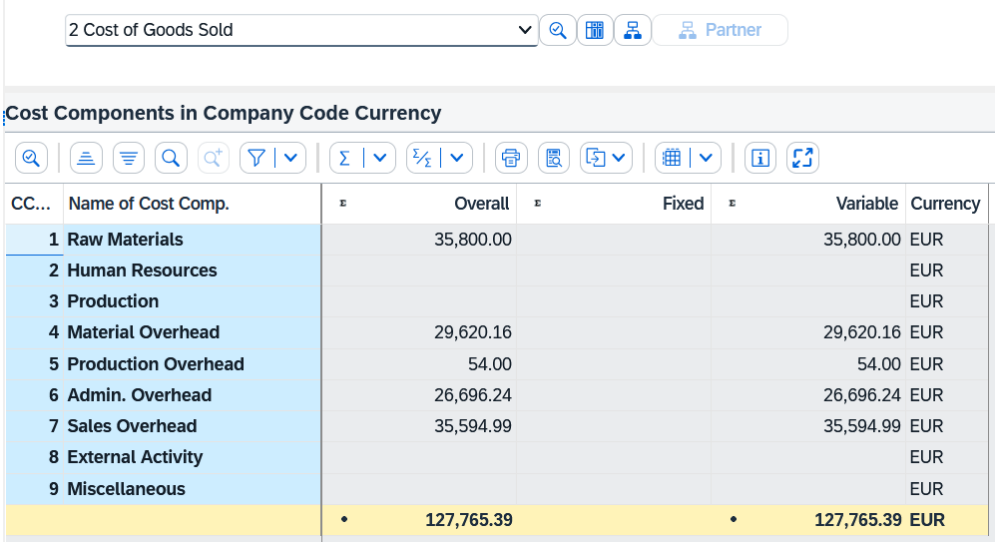
Scroll down and click on (*Cost Comps*) in about the middle of the screen to display the individual Cost Components.



CC...	Name of Cost Comp.	Overall	Fixed	Variable	Currency
1	Raw Materials	35,800.00		35,800.00	EUR
2	Human Resources				EUR
3	Production				EUR
4	Material Overhead	29,620.16		29,620.16	EUR
5	Production Overhead	54.00		54.00	EUR
8	External Activity				EUR
9	Miscellaneous				EUR
		65,474.16		**65,474.16**	**EUR**

This overview is similar to the previously created sample cost estimate, the costs can be fundamentally compared with each other.

In the dropdown in the middle of the screen, now change from *Cost of goods manufactured* to *Cost of goods sold*. Additional overhead surcharges are displayed, which are to be assigned to administration and sales. These make up the difference between cost of goods manufactured and cost of goods sold.



CC...	Name of Cost Comp.	Overall	Fixed	Variable	Currency
1	Raw Materials	35,800.00		35,800.00	EUR
2	Human Resources				EUR
3	Production				EUR
4	Material Overhead	29,620.16		29,620.16	EUR
5	Production Overhead	54.00		54.00	EUR
6	Admin. Overhead	26,696.24		26,696.24	EUR
7	Sales Overhead	35,594.99		35,594.99	EUR
8	External Activity				EUR
9	Miscellaneous				EUR
		127,765.39		**127,765.39**	**EUR**

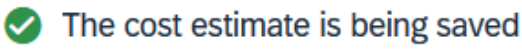
Optional What is the difference between cost of goods sold and cost of goods sold? Research these two cost accounting terms.

On the left side of the screen you can see the structure of the finished product. View the individual components of the product, adjust the size of the area for this purpose if necessary.

Costing Structure	Error Status	Total value	Currency	Quantity	Unit of ...	Resource
Touring Bike Computer		127,765.39	EUR	1,000	PC	HD00 TRBC1108
Touring Bike Computer semi-finished		93,622.08	EUR	1,000	PC	HD00 TRSC1108
Basic Casing		25,058.40	EUR	1,000	PC	HD00 BCSG1108
Pushbutton		1,296.00	EUR	4,000	PC	HD00 PSBT1108
Casing		9,396.00	EUR	1,000	PC	HD00 CSNG1108
Display Coverage		6,480.00	EUR	1,000	PC	HD00 DPCV1108
Touring Circuit Board		40,500.00	EUR	1,000	PC	HD00 TRCB1108
Touring Label		50.00	EUR	1,000	PC	HD00 TRLB1108
Packaging Bike Computer		150.00	EUR	1,000	PC	HD00 PKBC1108

Click on Save to save your material costing.

The SAP system saves the cost estimate for material *TRBC1###* and issues a corresponding message.



Click on SAP to return to the SAP Fiori Launchpad.

Step 21: Mark Price Update

Task Mark the price update. **Time** 10 Min.

Short Description Transfer the unit costs as standard price into the material master using the price update. To do this, first create a corresponding marking.

Name (**Position**) Shuyuan Chen (Accounting Manager)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Head of Accounting* role, use the *Release Material Cost Estimates* app to mark the price update.

Start

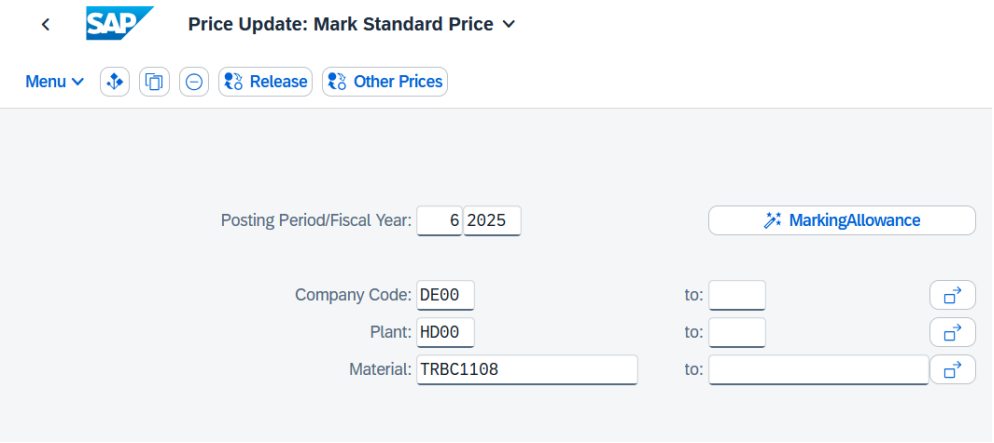


The *Price Update: Mark Standard Price* screen appears. Enter **the current month** and the **current year** as the posting period.

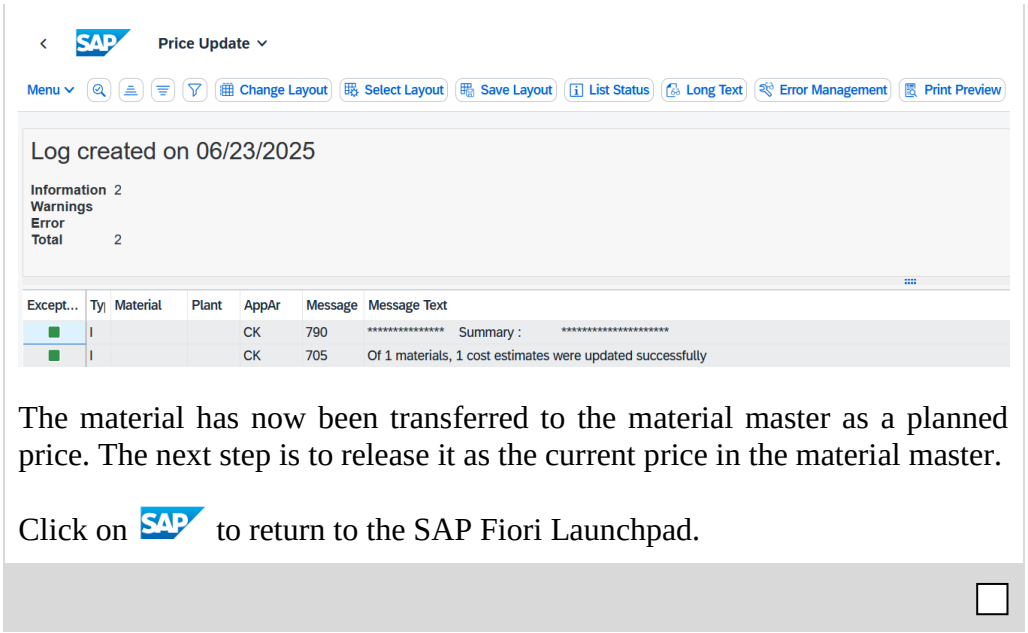
Current Month
Current Year

Enter **DE00** (Germany) as the *Company Code*, **HD00** as the *Plant* and the *Material* **TRBC1###**. In addition, remove the check mark from **Test run**.

DE00
HD00
TRBC1###
~~Test run~~



Perform the marking with a click on Execute. The system will then give you a log.



The material has now been transferred to the material master as a planned price. The next step is to release it as the current price in the material master.

Click on SAP to return to the SAP Fiori Launchpad.

Step 22: Release Price Update

Task Perform a price release for the Touring bike computer. **Time** 5 Min.

Short Description Release the preregistered price update for the material master. If the period has changed in the meantime, the marking must be performed again. The reason for this is that the marking is done with reference to the posting period and therefore cannot be used for release outside this period.

Name (**position**) Shuyuan Chen (Accounting Manager)

In the *Controlling* area on the *Multilevel Product Cost Controlling* page in the *Head of Accounting* role, use the *Release Material Cost Estimates* app to release the price update.

Start

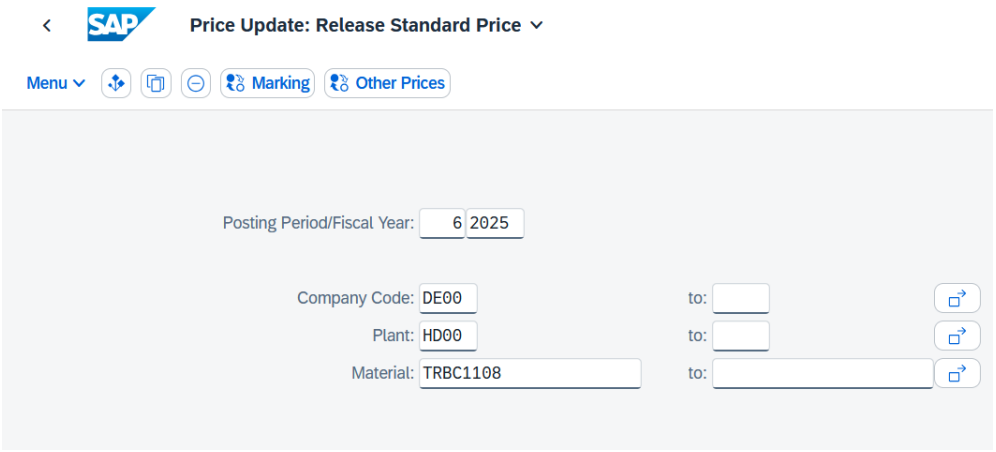


Click on Release to switch from marking to releasing material cost estimates. Again, make sure that the **current month** is selected as the *posting period* and the **current year**.

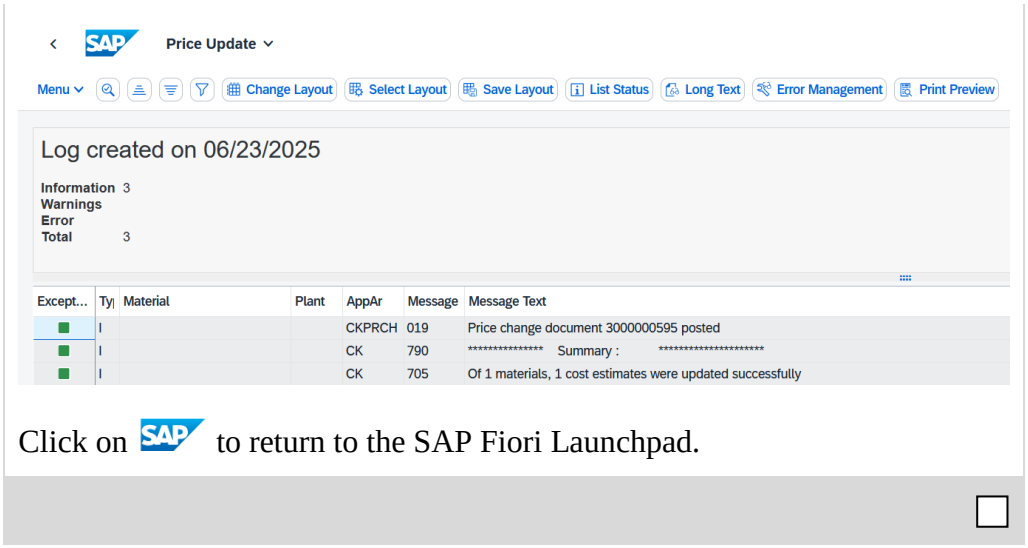
Current Month
Current Year

Enter **DE00** (Germany) as the *Company code*, **HD00** as the *Plant* and the *Material* **TRBC1###**. In addition, remove the check mark from **Test run**.

DE00
HD00
TRBC1###
~~Test run~~



Then perform the release by clicking on Execute. The system then displays the list output.



Click on SAP to return to the SAP Fiori Launchpad.

Step 23: Check Price Update

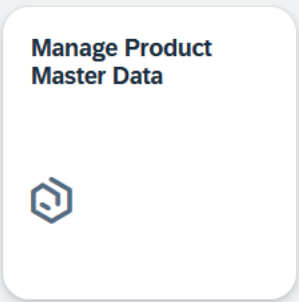
Task Perform a check of the price release. **Time** 5 Min.

Short Description Check if the price update was successful. You do this directly in the product master data.

Name (**position)** Jermain Kumins (Production Worker 1)

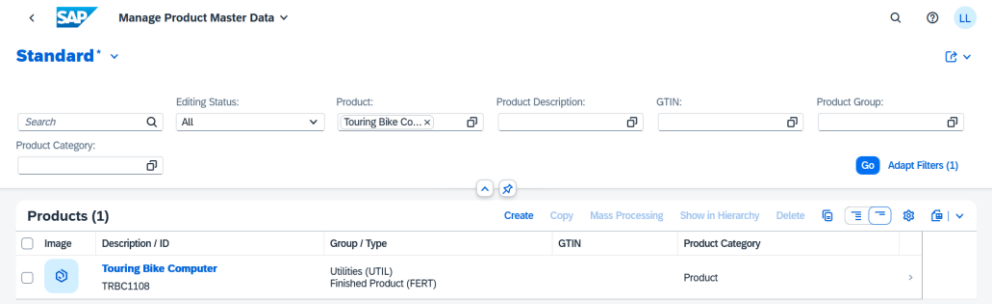
In the *Controlling* area, on the *Multilevel Product Cost Controlling* page, in the *Shop Floor Worker* role, use the *Manage Product Master Data* app to check the price update.

Start



In the search mask, enter **TRBC1###** in the *Product* field and click on Go. The system will display your Touring Bike Computer.

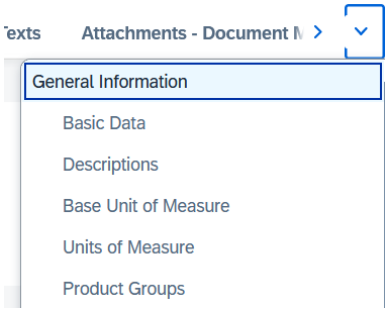
TRBC1###



Click on the entry to open the details of the product.

On the right edge of the screen, use the pull-down menu to select the *Valuation Areas* section.

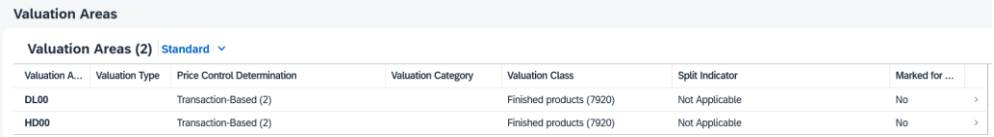
Valuation areas



...

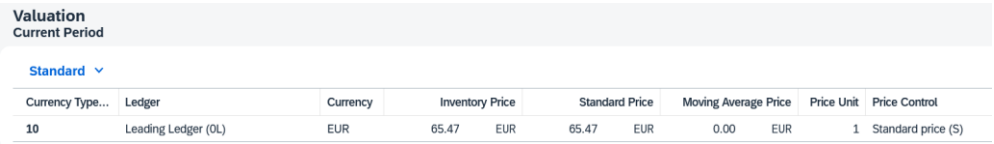


The screen automatically scrolls to the appropriate section.



Click on the line with the Valuation Area *HD00* to view more details of the material.

Select the *Valuation tab* ► *Current period*. Here you can see the price of the posted material cost estimate as the currently valid standard price.



As a result of your price update, the calculated price for the Touring Bike Computer was updated as the standard price in the material master.

Click on SAP to return to the SAP Fiori Launchpad.